Q3 2021

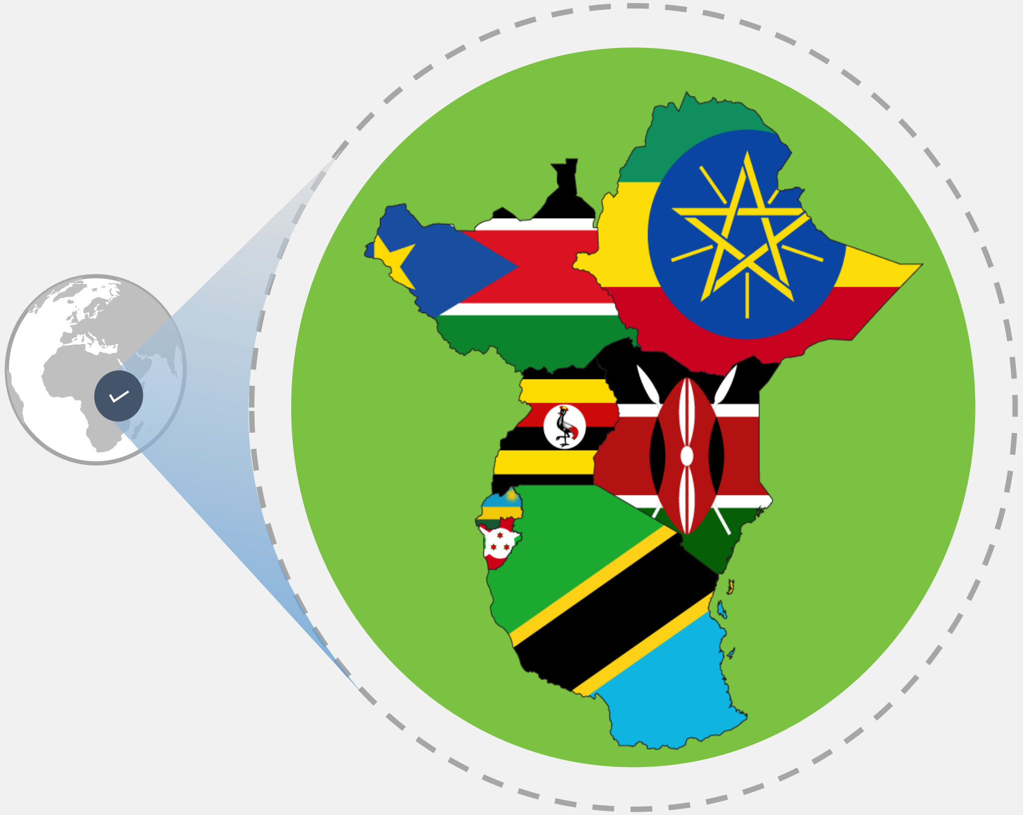
INVESTOR PRESENTATION

17 NOVEMBER 2021

GROUP OVERVIEW

LARGEST FOOTPRINT IN THE REGION

KCB



25.9 M
Customers
8,373 Staff

491
Branches
1,154 ATMs
27,371 Agents & POS / Merchants

Kenya	**Tanzania**	**South Sudan**	**Rwanda**	**Uganda**	**Burundi**	**Ethiopia Rep Office**	**KCB Bancassurance Intermediary Limited**	**KCB Capital**	**KCB Foundation**
Branches **295**	Branches **14**	Branches **13**	Branches **150**	Branches **13**	Branches **6**				
ATMs **502**	ATMs **15**	ATMs **4**	ATMs **77**	ATMs **15**	ATMs **8**				
Agents **16,899**	Agents **249**	Agents **45**	Agents **842**	Agents **420**	Agents **200**				
Staff **6,530**	Staff **291**	Staff **132**	Staff **1,114**	Staff **269**	Staff **134**				

HIGH LEVEL ORGANISATION STRUCTURE

THE EXECUTIVE COMMITTEE

Joshua Oigara
Group Chief Executive Officer and Managing Director

*MD NBK

Lawrence Kimathi
Group Chief Finance Officer

Samuel Makome
Chief Commercial Officer

Bonnie Okumu
Group General Counsel

Japheth Achola
Group HR Director

Paul Russo
Group Regional Business Director*

Dr. Leonard Mwithiga
Group Shared Services Director

Joachim Steuerwald
Group Chief Technology Officer

Rosalind Gichuru
Group Director Marketing, Corporate Affairs and Citizenship

John Mukulu
Group Chief Risk Officer

Bernard Okello
Group Director Credit

KCB's 2023 STRATEGY

3 Year Strategy Vision

The very best in customer experience, driving a digital future

Our Aspirations

CES **<15%**

NPS **45%+**

Total assets **1.5 Tr**

CIR **40-43%**

NFI **40%**

PBT from subsidiaries **20%**

Our Strategic Thrusts

Customer first, with leading value propositions

Step change in efficiency & productivity

Digital leader & digital to the core

Scale to achieve regional relevance

CUSTOMER FIRST

Steady improvement in customer satisfaction driven by investment in self serve channels

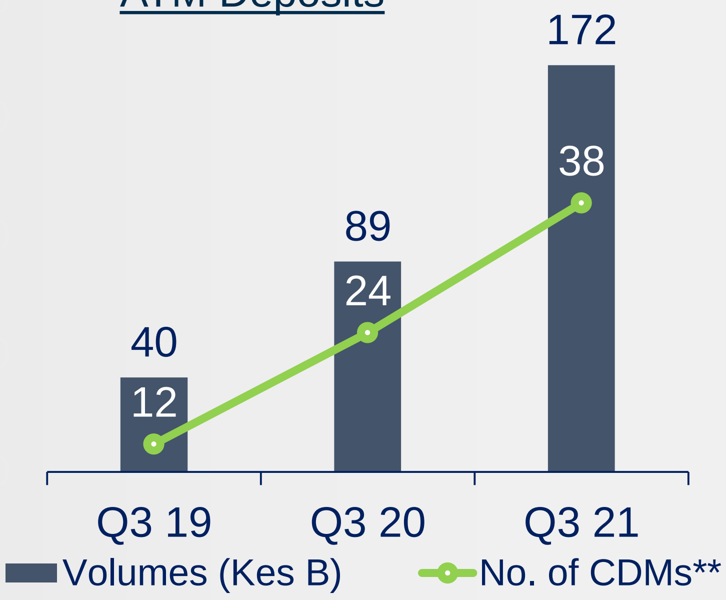
93%

Growth in value of ATM deposits to Kes 172B with Kes 86B deposits collected

Customer Excellence Scores

* Industry average at 34 as at Q2 2021

ATM Deposits



46%

of contact center calls resolved through interactive voice response (IVR)

Customers’ average wait times dropped from 14 minutes in December 2020 to 6 minutes in September 2021

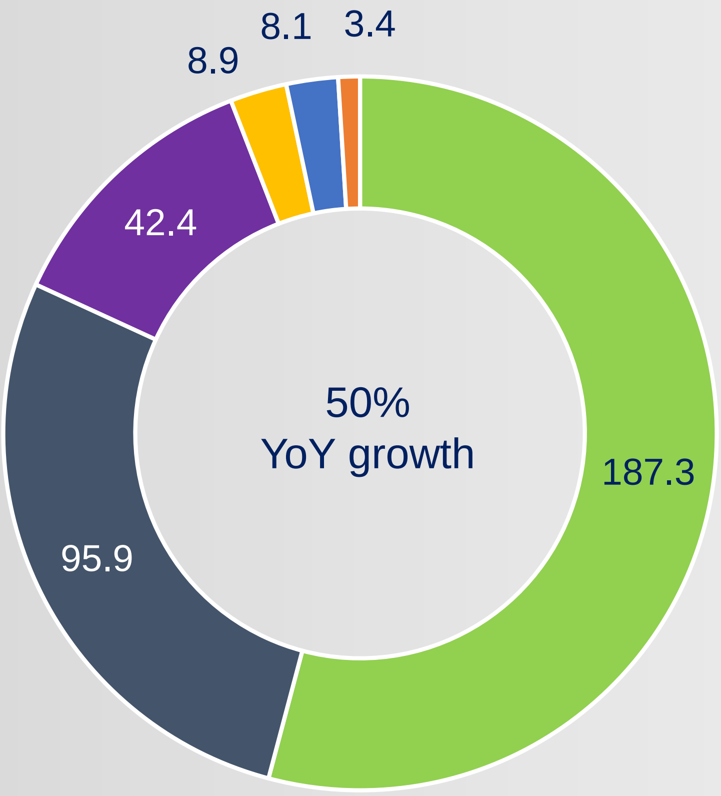
**Cash deposit machines

CUSTOMER FIRST

98%

of transactions conducted through non-branch channels

Number of non-branch channel transactions in Q3 2021 (M)



	YoY growth
Mobile Lending	61%
Mobi Service	47%
Agency	25%
Merchant POS	68%
ATMs	(8%)
Internet Banking	79%

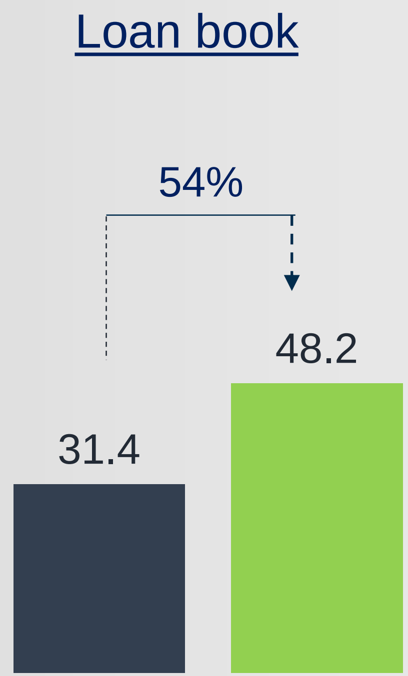
SUPPORTING MSMEs THROUGH THE PANDEMIC

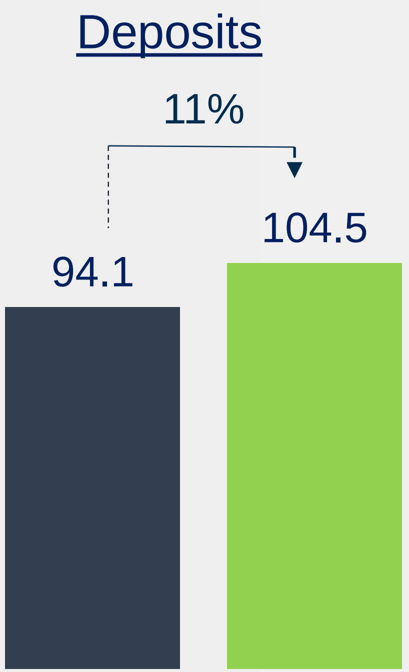
SME NPL ratio improved by 440bps to 8.7% due to prudent credit management

Revised lending criteria through extended loan tenures and enhanced limits, fueling a Kes 16.8B growth

Participation in risk sharing guarantees to de-risk the portfolio

Actively upgrading customers to the corporate segment upon outgrowing the retail SME proposition





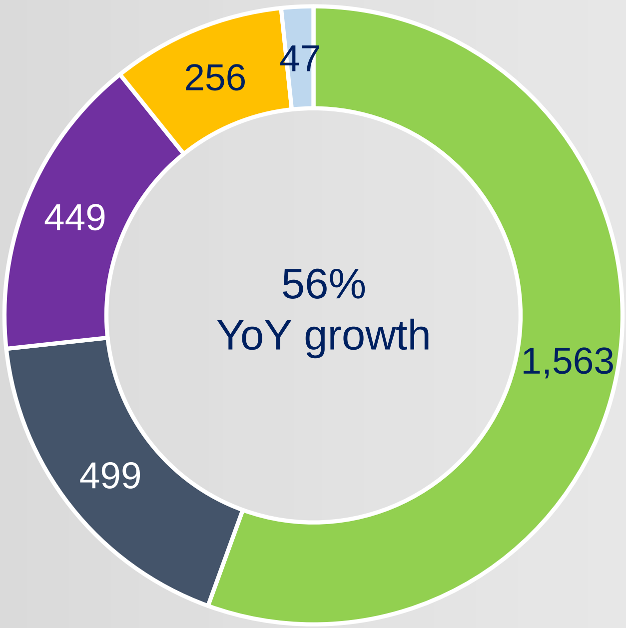
Q3 20 Q3 21

Amounts in Kes B

DRIVING EFFICIENCY THROUGH NON-BRANCH CHANNELS

Improvement in efficiency ratios in 2021 supported by deepening of digital channels

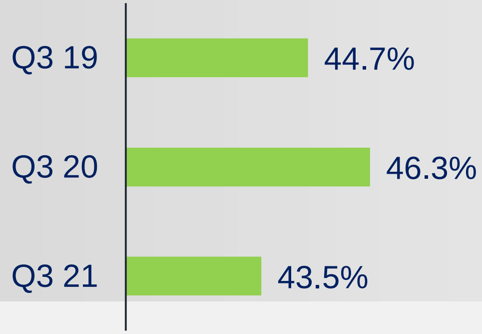
Value transacted through digital channels (Kes B)



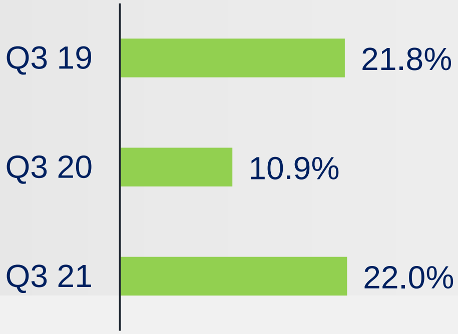
YoY growth

Mobi Service	70%
Internet banking	36%
Agency	46%
ATMs	43%
Merchants POS	66%

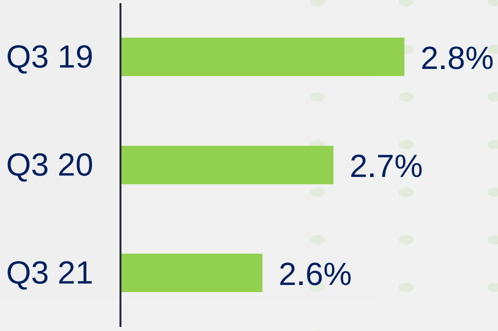
Cost to income ratio



Return on equity



Cost of funds



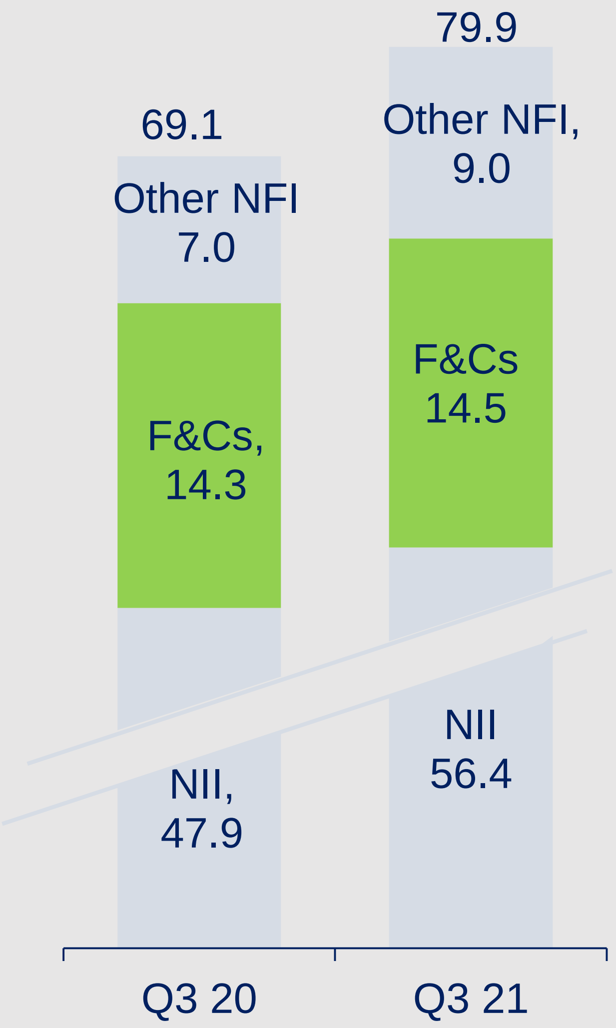
DRIVING EFFICIENCY THROUGH NON-BRANCH CHANNELS

Kes **6.6B**

Total revenue from digital channels.

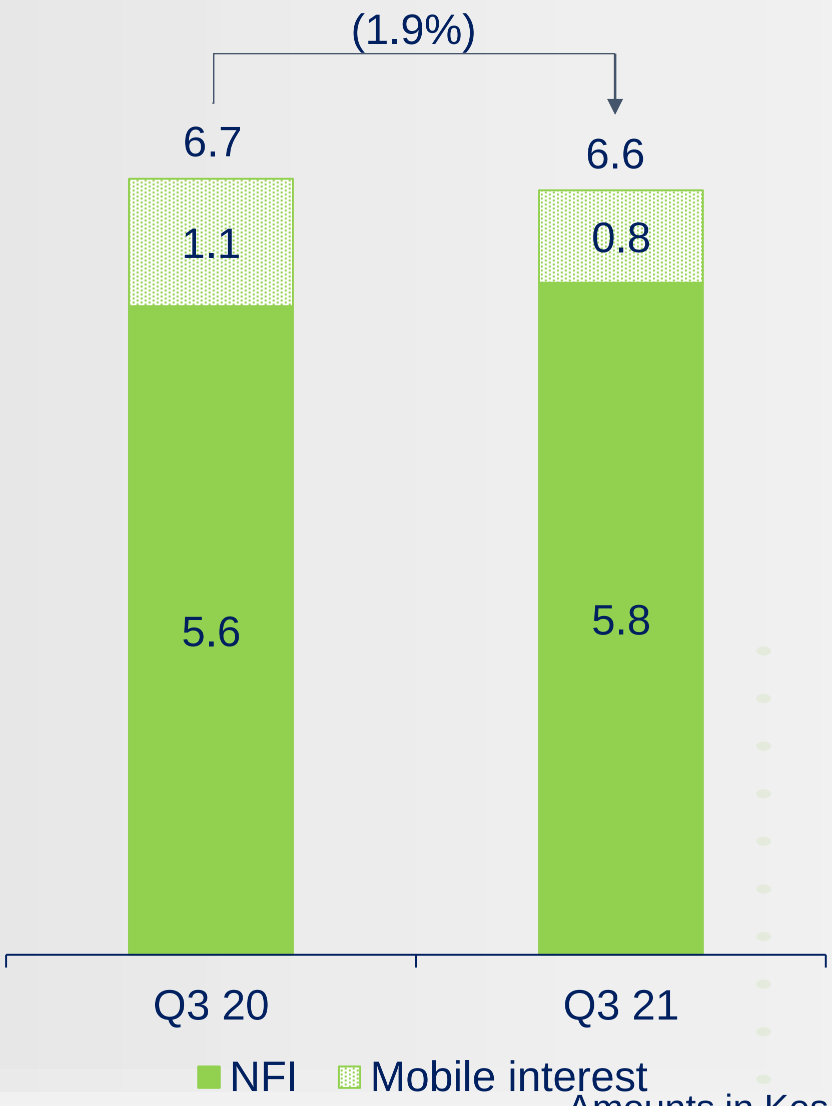
88% being NFI, equivalent to half of KCB Bank Kenya's total fees and commissions

Group Q3 21 Revenue



F&Cs – Fees and commissions

Digital Channels Revenue



Amounts in Kes B

GROWING OUR PAYMENT UNIVERSE

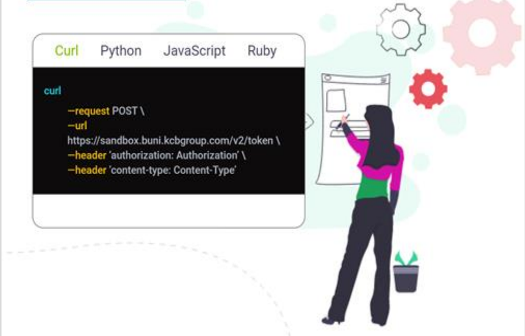
PAYMENTS

Increase in recruitment of customer & partner base to grow utilization of payment services.

Ready to build something amazing?

Discover APIs

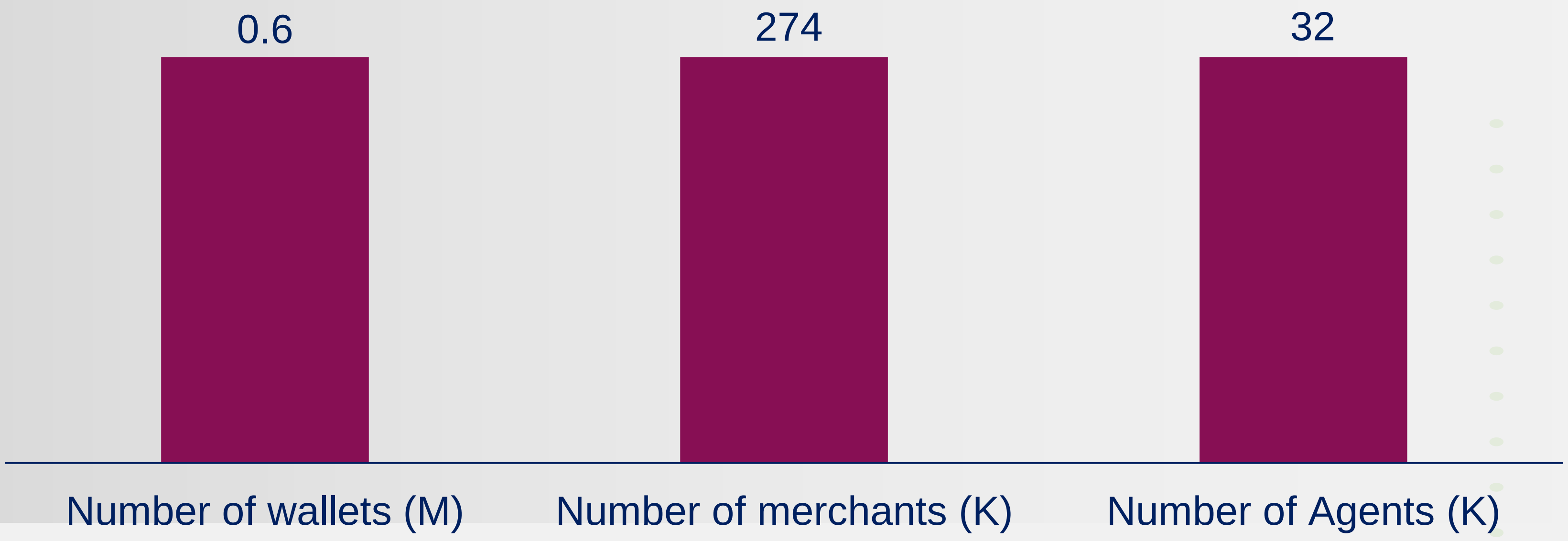
https://buni.kcbgroup.com/



Developer sandbox online with 20 partners live

Available APIs on Buni

- ✓ To pay – to Vooma wallet, till to till & notifications
- ✓ Queries – query and validate utility bill by account, merchant till or agent name & number
- ✓ Deposit & withdraw at any Vooma agent to any partner bank account or wallet



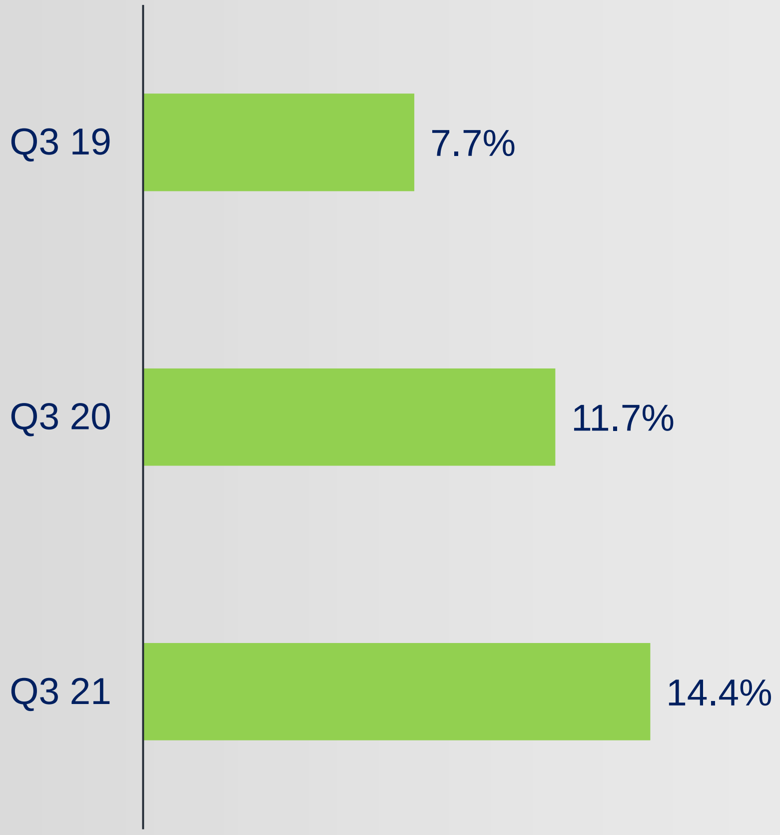
BUILDING MOMENTUM FROM OUR REGIONAL BUSINESSES

80%

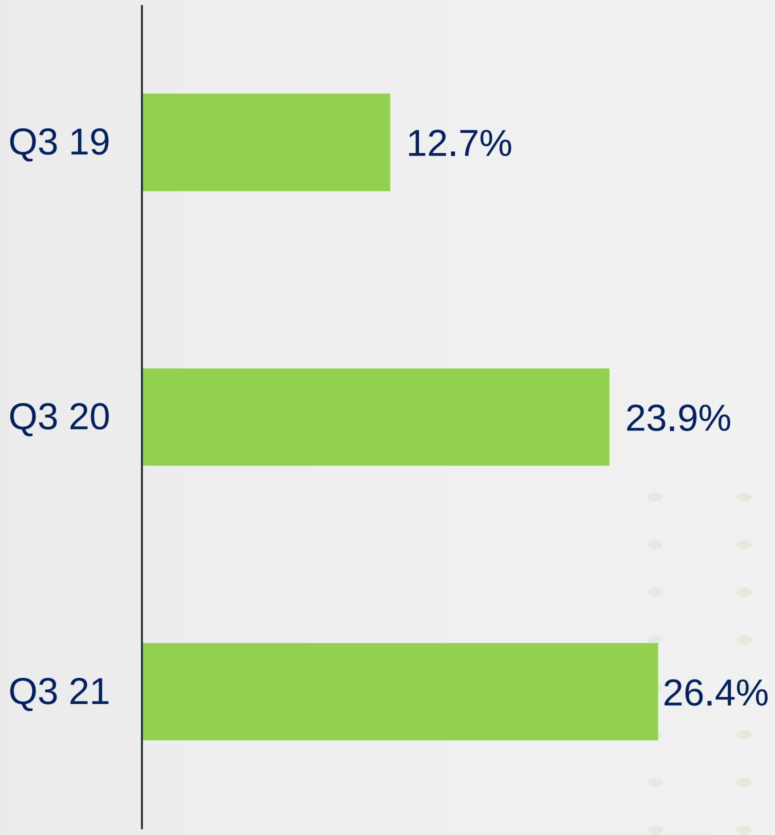
Organic growth of PBT from subsidiaries outside KCB Bank Kenya to Kes 5.1B in Q3 2021

Contribution of subsidiaries outside KCB Bank Kenya

Profit before tax



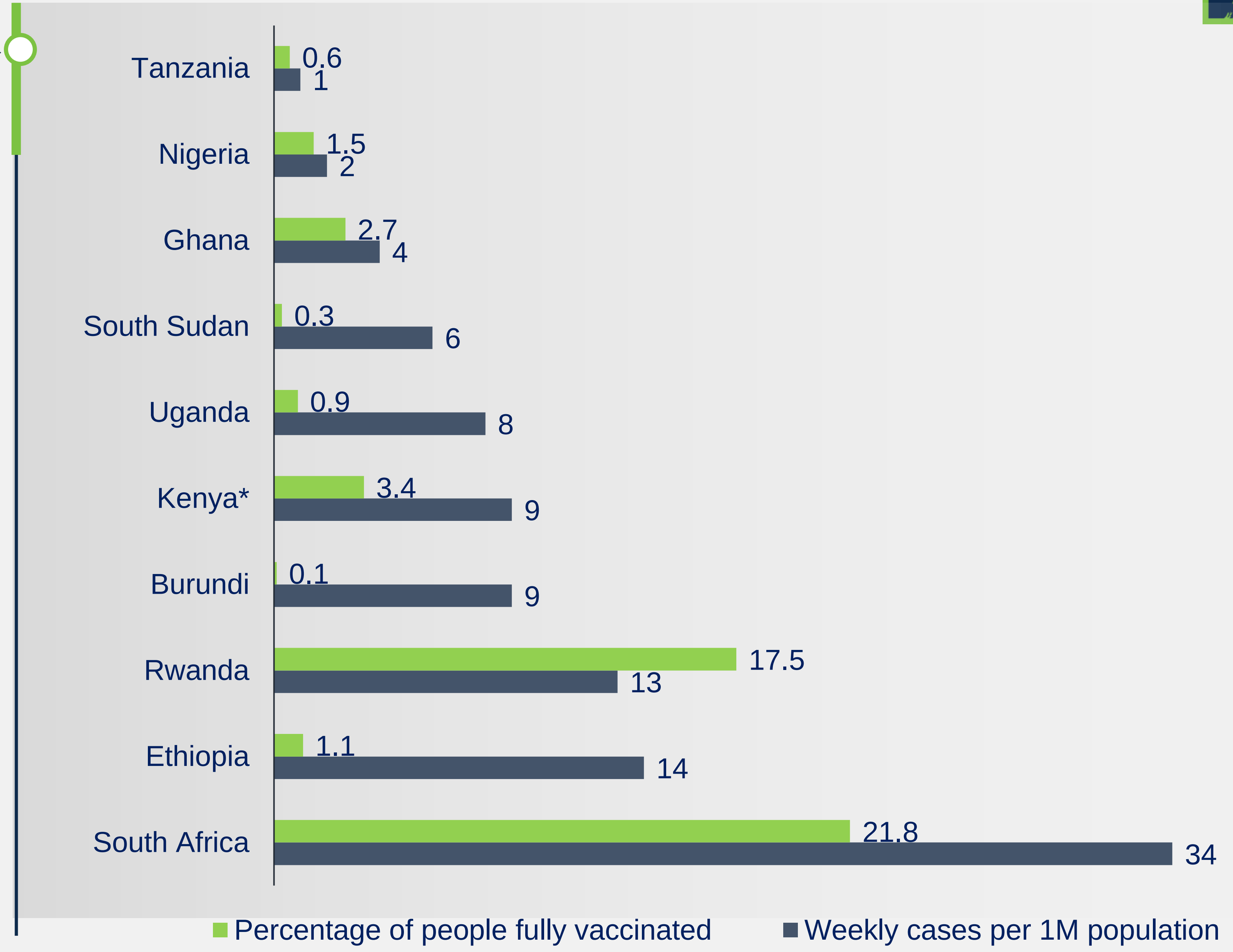
Total assets



OPERATING ENVIRONMENT HIGHLIGHTS

COVID-19 POSITIVITY RATES DECLINING ACROSS THE REGION

99% of KCB staff in Kenya and 89% across the region have been vaccinated with at least one dose, enabling resumption of up to 80% of our staff to their primary working sites



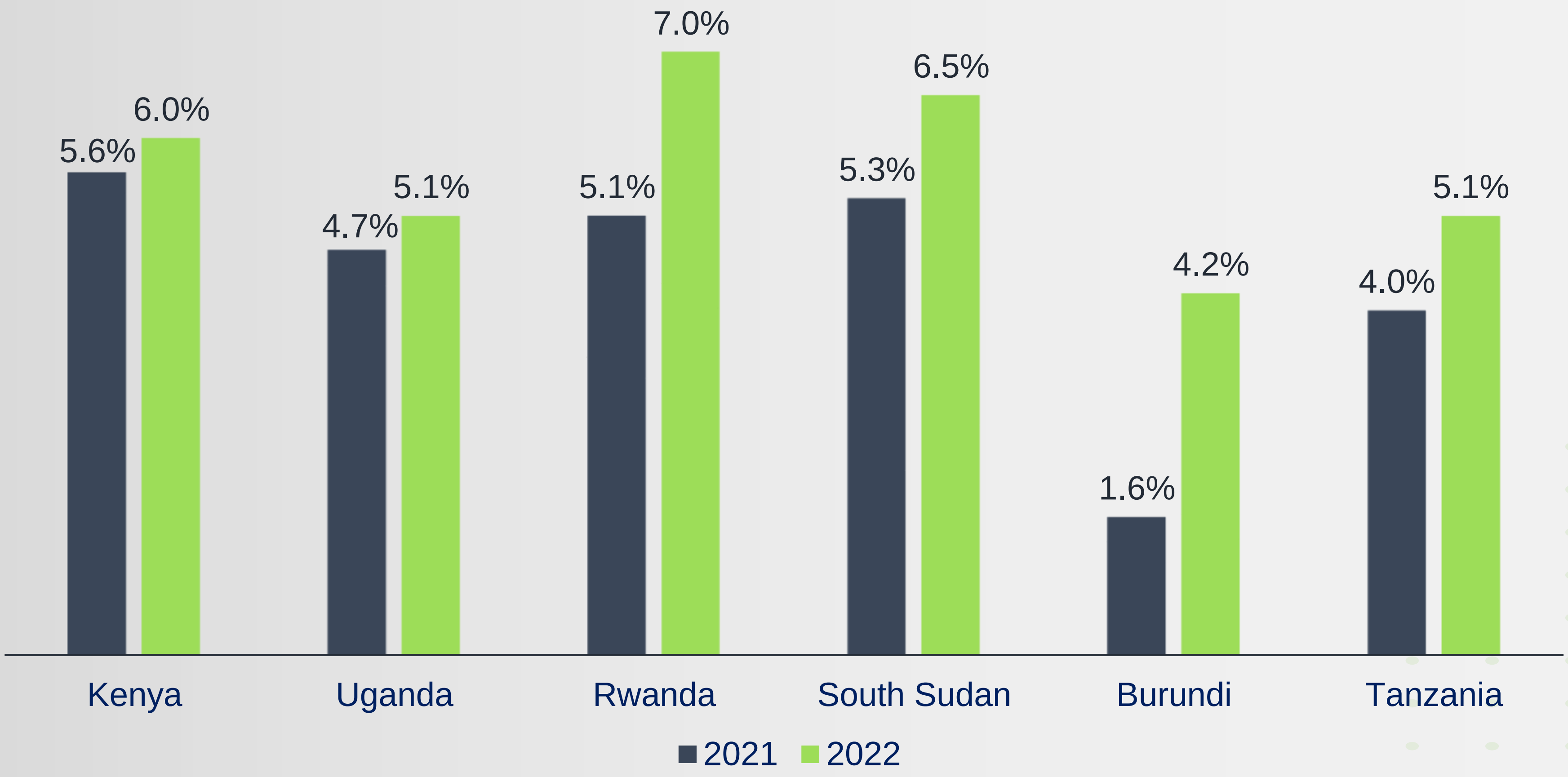
Source: Africa CDC data

*Fully vaccinated persons as a percentage of the adult population in Kenya stand at 8.0%

REGIONAL GDP RECOVERY OUTLOOK

Kenya's GDP expanded by Kes 515B, to Kes 10.2T, after it was rebased to capture new sectors whose output had grown in recent years.

Projected GDP Growth Rates



Source: IMF October 2021 World Economic Outlook

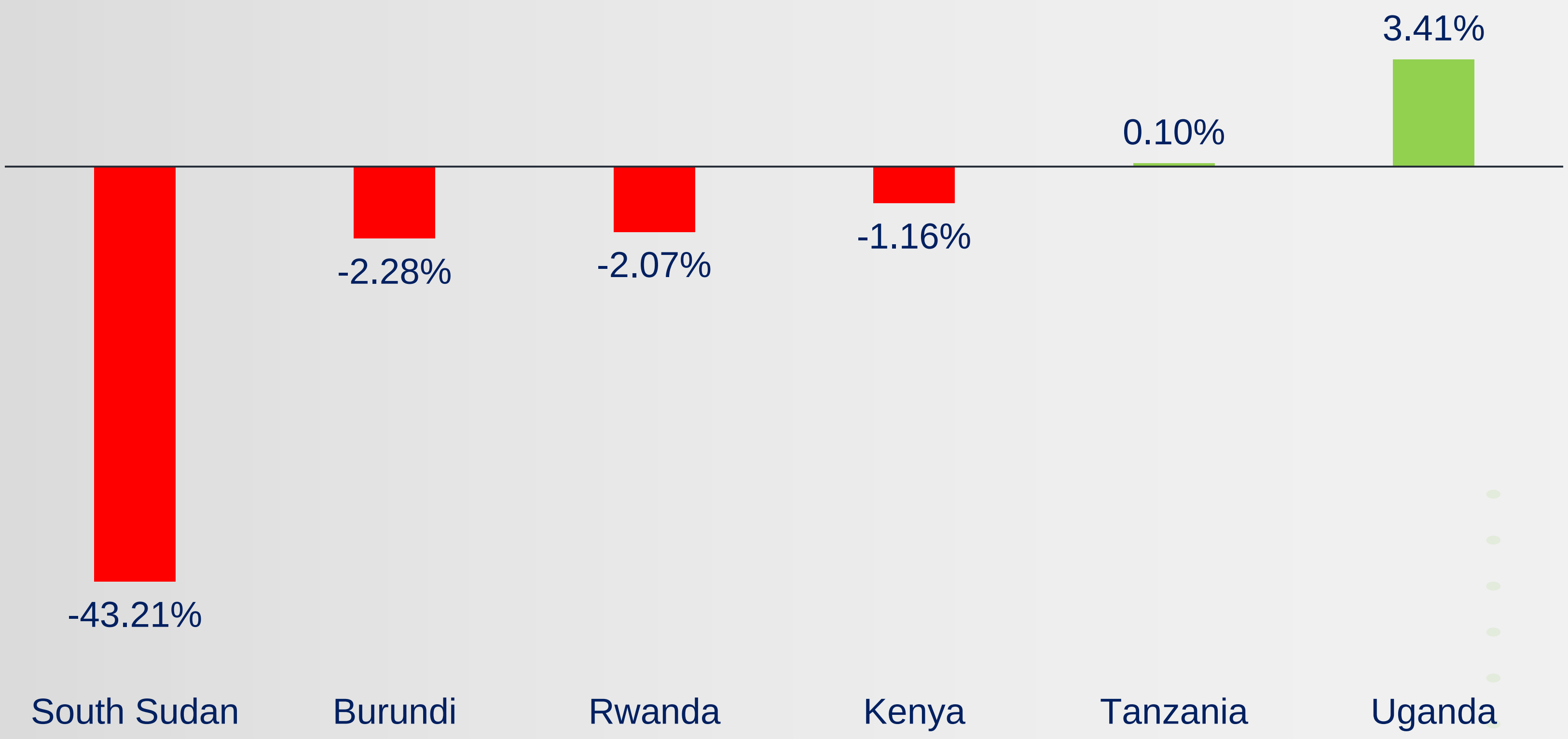
REGIONAL CURRENCIES PERFORMANCE

KENYA
Diaspora remittances up 20% to USD 2.7B in nine months of 2021

UGANDA
Shilling driven by inflows and coffee exports

SOUTH SUDAN
Devalued its currency in Q1 21

Performance of regional currencies against USD Year to Sep 2021

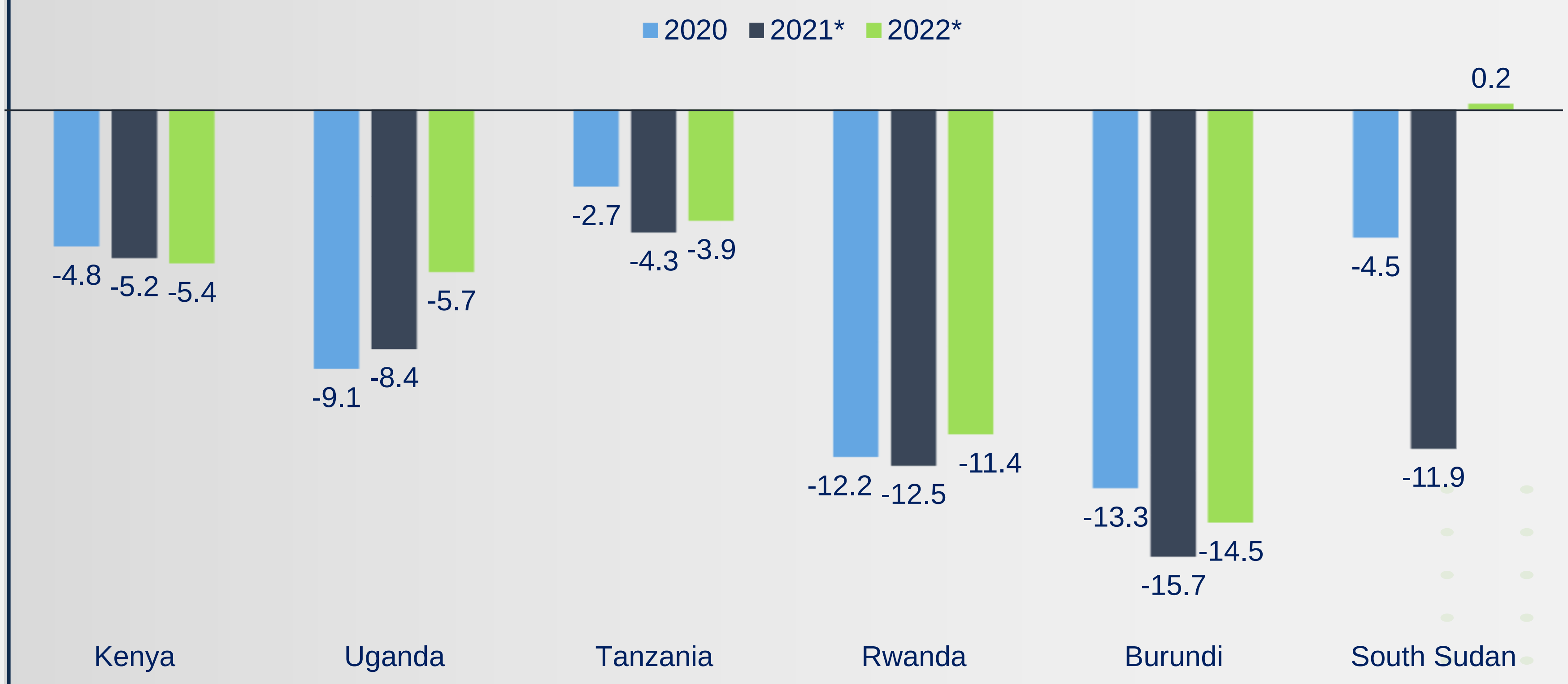


REGIONAL CURRENT ACCOUNTS TREND

KENYA

- Import cover 5.77 months at the end of Sep 2021
- Exports up 11.5% in year to Aug 2021
- Imports up 22.9% in year to Aug 2021

Current account deficit as a percentage of GDP

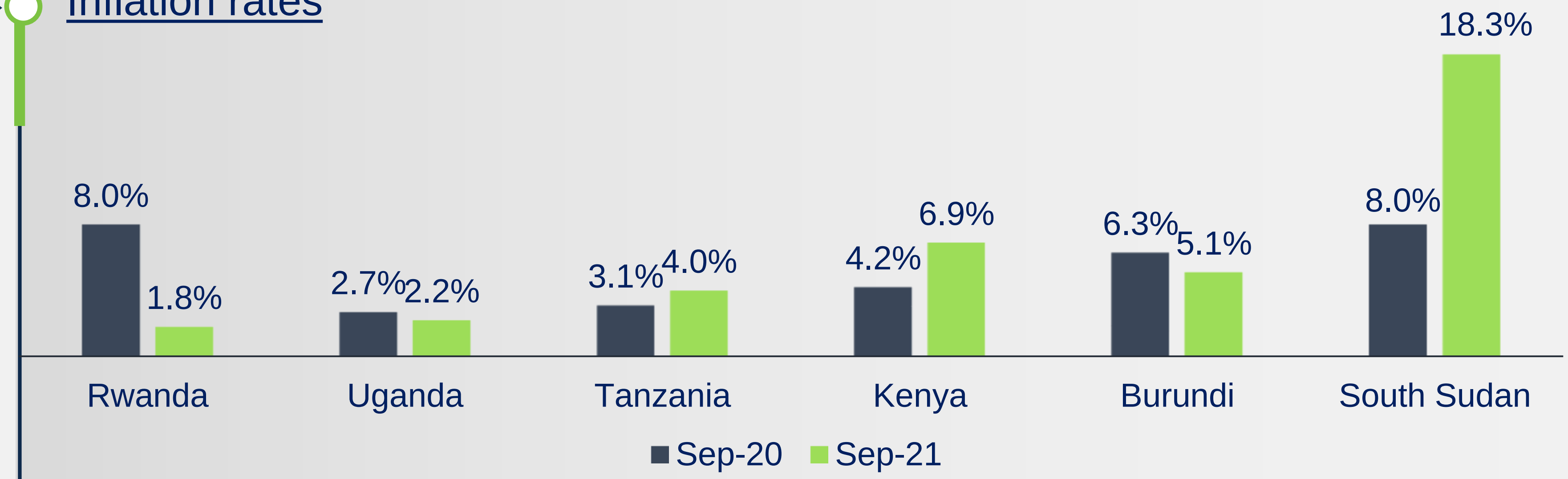


*Projected

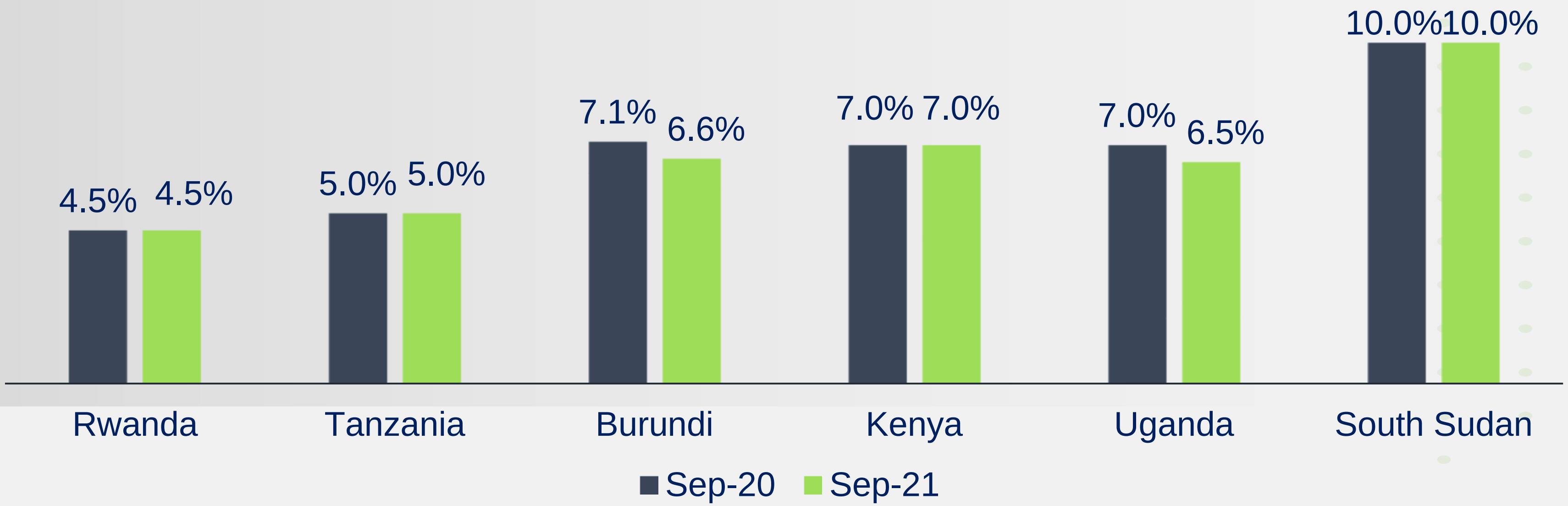
INFLATION AND LENDING RATE MOVEMENT

Inflation remained moderate in most countries in the region on account of reduced prices of locally produced food items

Inflation rates



Central Bank rates



KCB

OUR APPROACH TO SUSTAINABILITY IS GUIDED BY THE FOLLOWING SDGs

- No Poverty
- Decent Work and Economic Growth
- Industry, Innovation and Infrastructure
- Reduced Inequality
- Sustainable Cities and Communities
- Climate Action
- Responsible Consumption and Production
- Peace and Justice Strong Institutions
- Partnerships to achieve the Goal

KCB Group is committed to creating long term value for shared prosperity through alignment of our strategy to sustainable practices. As we deepen our presence across the region, we seek to address the environmental, social and governance (ESG) risks and effects of our operations in a manner consistent with our values.

KEY DEVELOPMENTS IN 2021

eco

Reduced our carbon footprint by 23%. Targeting to be carbon neutral by 2050

Minimized the E&S impact from our lending through screening of loans worth **Kes 85B**

Trained over **6,633 staff** on sustainability to help demystify and ensure mitigation of climate risks

CONTINUED FOCUS ON ESG

Decent Work and Economic Growth

No Poverty

Reduced Inequality

Partnerships to achieve the Goal

Supporting our Communities through shared value

Kes 11.1B distributed to the elderly, orphans and vulnerable under the Inua Jamii programme.

KCB Scholarship programme expanded to included university students

4,241 young persons trained under the 2Jiajiri programme leading to creation of **5,592 jobs**

Embracing diversity at the workplace

45% of all employees and 40% of managers are women

41% composition of women on the Group and subsidiaries' Boards

250 women trained under the Women in Leadership Network

Partnerships

UN-Convened, Industry-led Net-Zero Banking Alliance · SHARED VALUE AFRICA INITIATIVE · GRI Empowering Sustainable Decisions · UNEP FINANCE INITIATIVE · United Nations Global Compact · TCFD TASK FORCE ON CLIMATE-RELATED FINANCIAL DISCLOSURES · PCAF

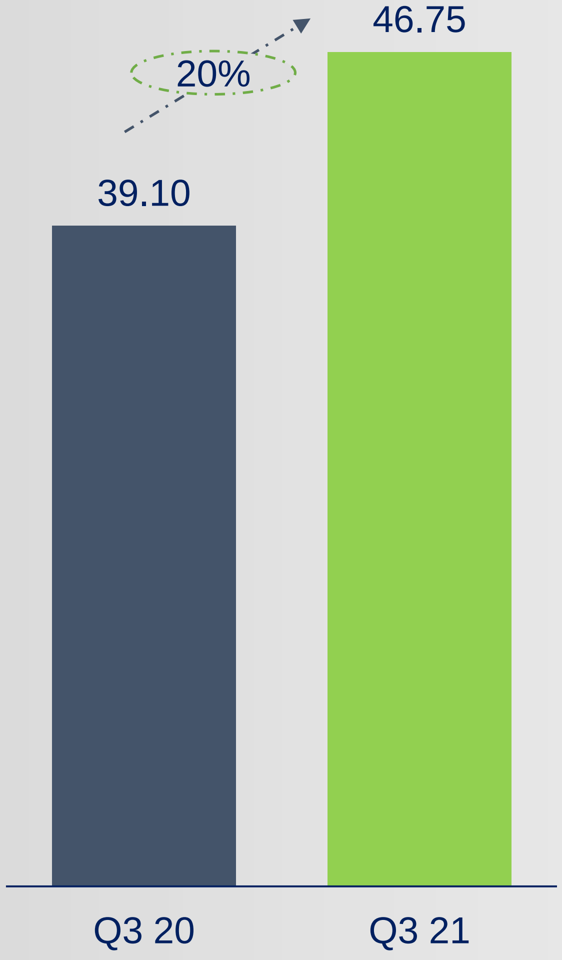
IMPROVED STOCK PERFORMANCE

Kes 150B
Market capitalization

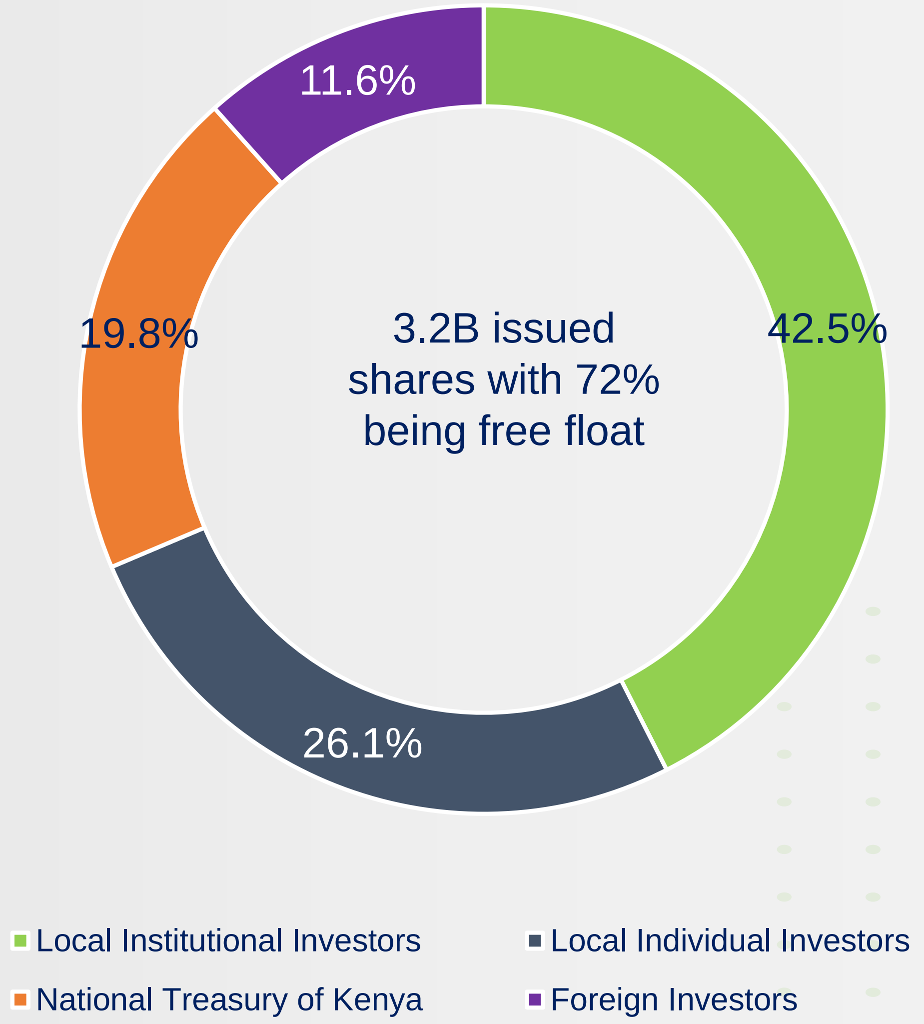
Share price appreciated by 23% in 2021 outperforming NSE20 index by 14%

KCB's shares are listed on the NSE, DSE, USE and RSE with shares worth USD 91M being traded in 2021

Share price (Kes)



Shareholder profile



As at 30 September 2021

Kes **9.92**

Annualized earnings per share in Q3 2021, up 92%

The Board of Directors approved payment of an interim dividend of Kes 1.00 per share.

The dividend will be paid on or about **14 JANUARY 2022**, to shareholders registered at the close of business on **9 DECEMBER 2021**

Dividend per share (Kes)

STABLE AND STRONG RATINGS

KCB BANK KENYA

Credit ratings at par with the sovereign rating and affirmed in October 2021

	2019	2020	2021
Rating	B2	B2	B2
Outlook	Stable	Negative	Negative

Credit rating affirmed KCB's:

- Solid profitability metrics
- Stable deposit-based funding structure, and;
- Strong capital buffers

Moody's Investors Service

AWARDS

THE BANKER

TOP

1000

BANKS

KCB ranked

685^{th} Globally

20^{th} in Africa

1^{st} in Eastern Africa

Best Bank in Kenya by:
- Global Finance World's Best Bank Awards.
- Global Business Outlook Awards.
- World Economic Magazine Awards.

- **Best Bank in Kenya** and **Africa's Best Responsibility Bank** by Euromoney Global Awards.
- **Safest Bank in Africa** by Global Finance.
- **Best Sustainable Bank** by International Business Magazine.
- **Most Socially Responsible Bank** in Kenya by Finance Derivative Awards.
- **Best ESG solution** by Middle East & Africa Innovations Awards.
- **Fortune Change the World** ranked KCB Group 8^{th} Globally for community support and service to society

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- **Best Bank in Kenya** for Customer Experience, Digital and Innovation by Global Brands Magazine Awards.
- **Best in Digital Banking, Product Marketing and Mortgage Finance** by Think Business Awards.
- **Best Corporate and Best Retail Bank** by Global Banking and Finance Awards.

FINANCIAL PERFORMANCE

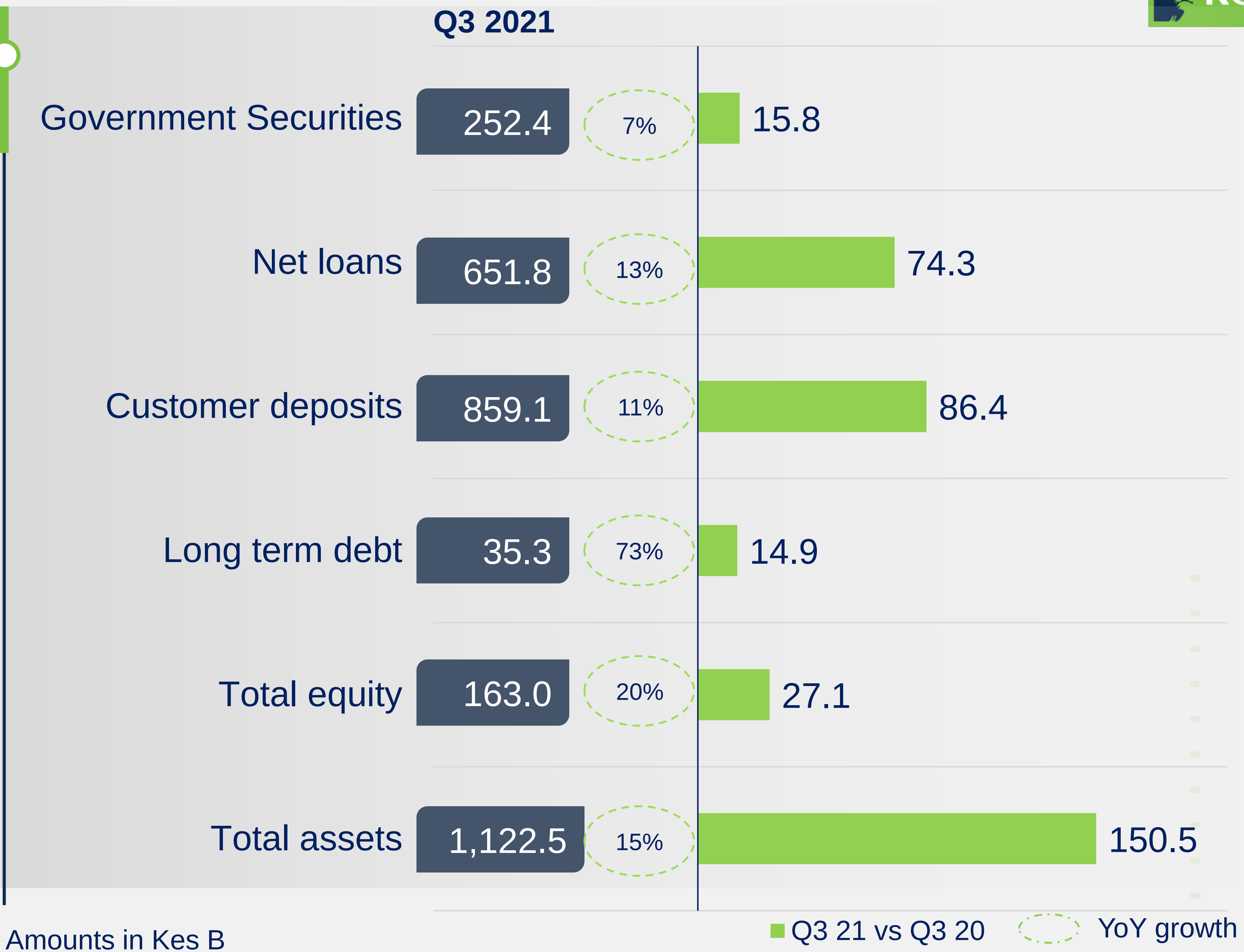
SUBSTANTIAL BALANCE SHEET GROWTH

15%

Growth in balance sheet size to Kes 1.1 trillion

13%

Loan book growth driven by improved lending in Kenya, Uganda and Rwanda and BPR acquisition



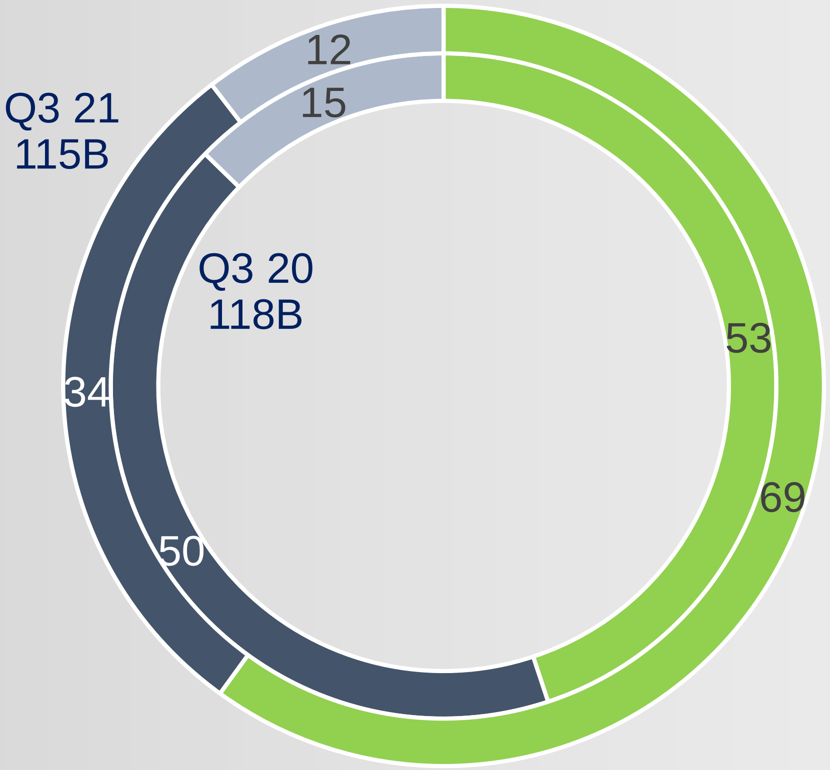
Amounts in Kes B

RESURGENCE IN MOBILE LENDING

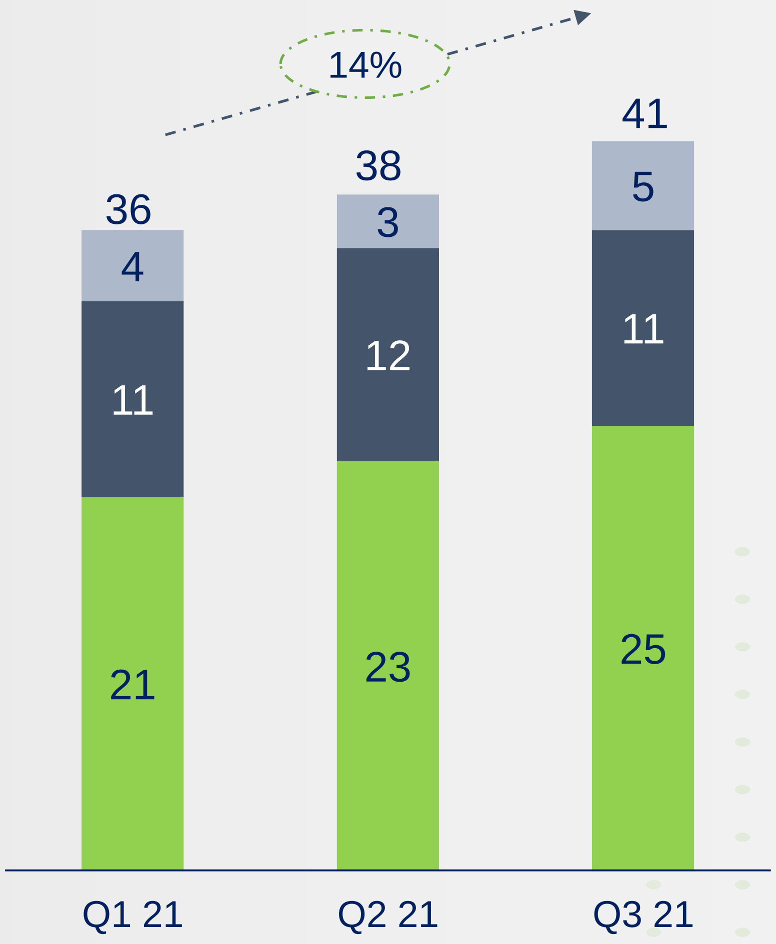
Kes**115B**

Value of mobile loans advanced.
Significant improvement in the year driven by limit enhancements for qualifying customers

Mobile loan product split



Recovery in mobile lending in 2021



Fuliza KCB MPESA Vooma loan

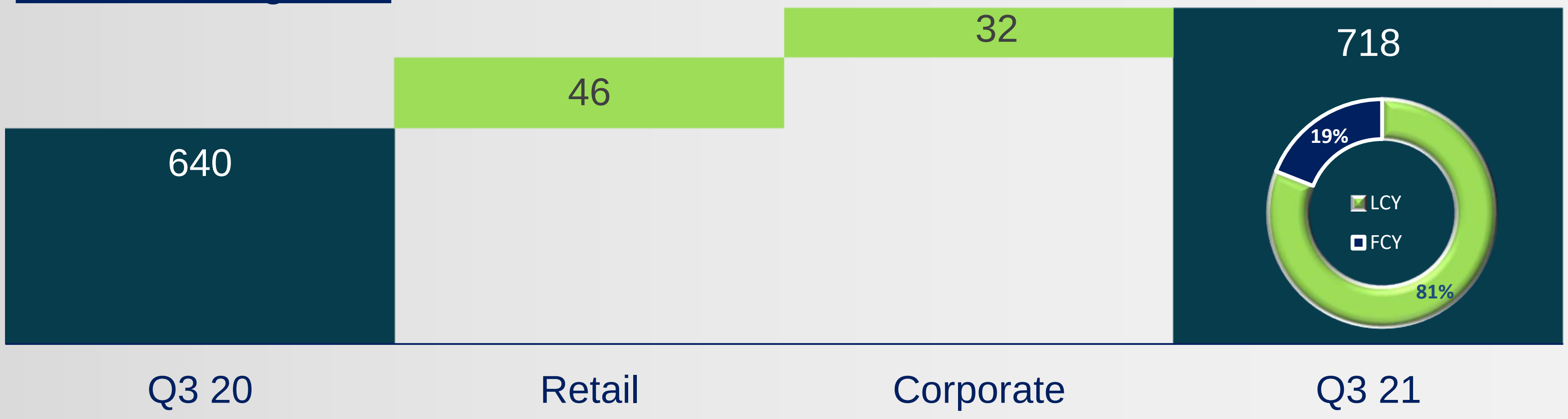
Amounts in Kes B

DOUBLE DIGIT LOAN BOOK GROWTH

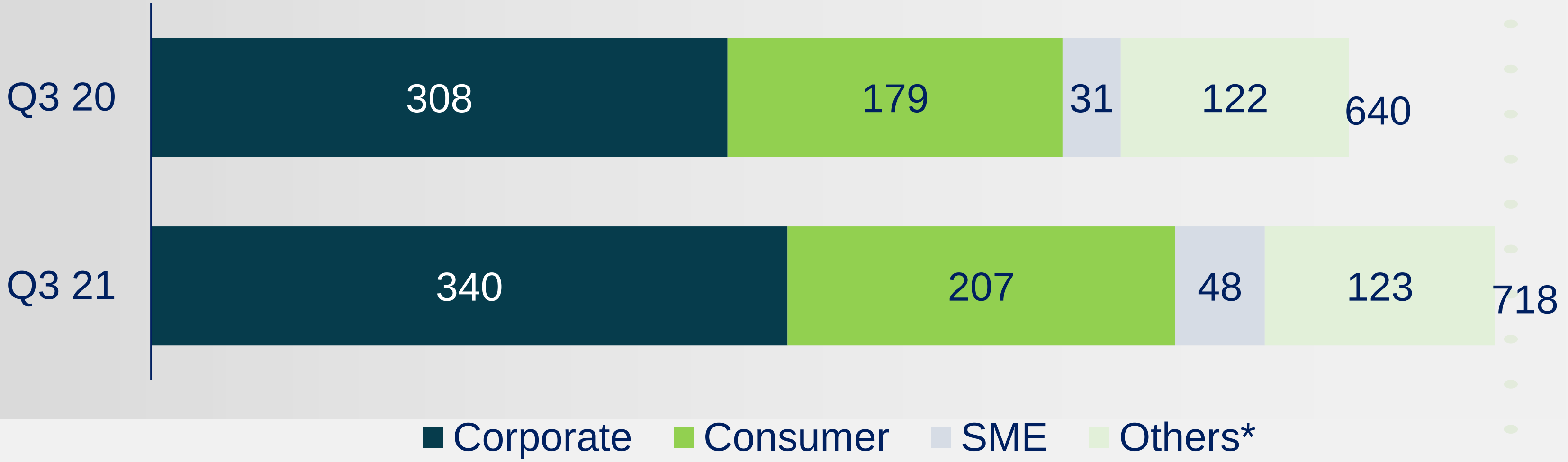
12%

Growth in Gross Loans driven by personal and manufacturing sectors.

Gross loans growth



Gross loans per segment



Amounts in Kes B

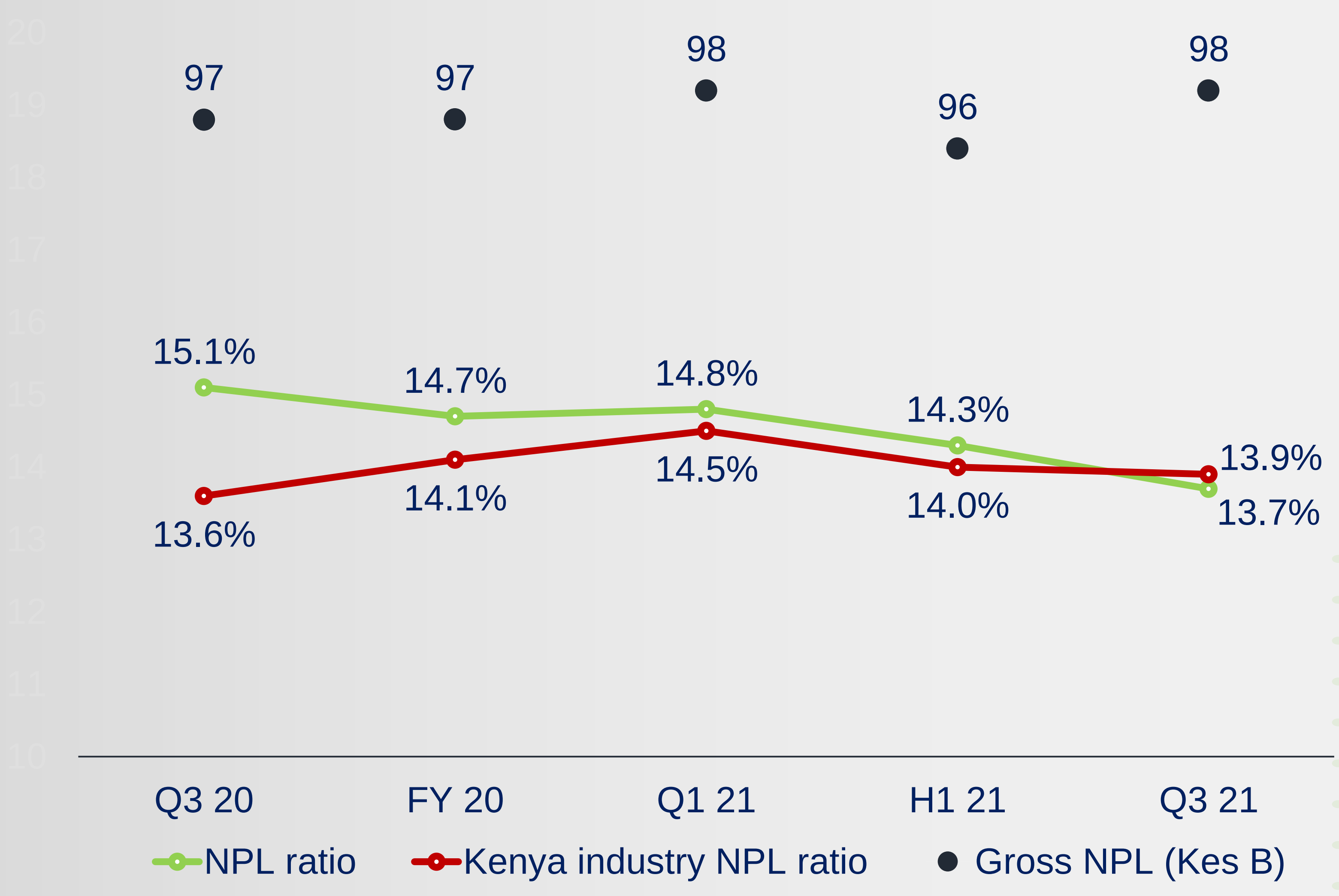
*Others include micro, premium, retail mortgages, staff, diaspora and digital loans

IMPROVED ASSET QUALITY

13.7%

Group NPL ratio down 140 bps year on year

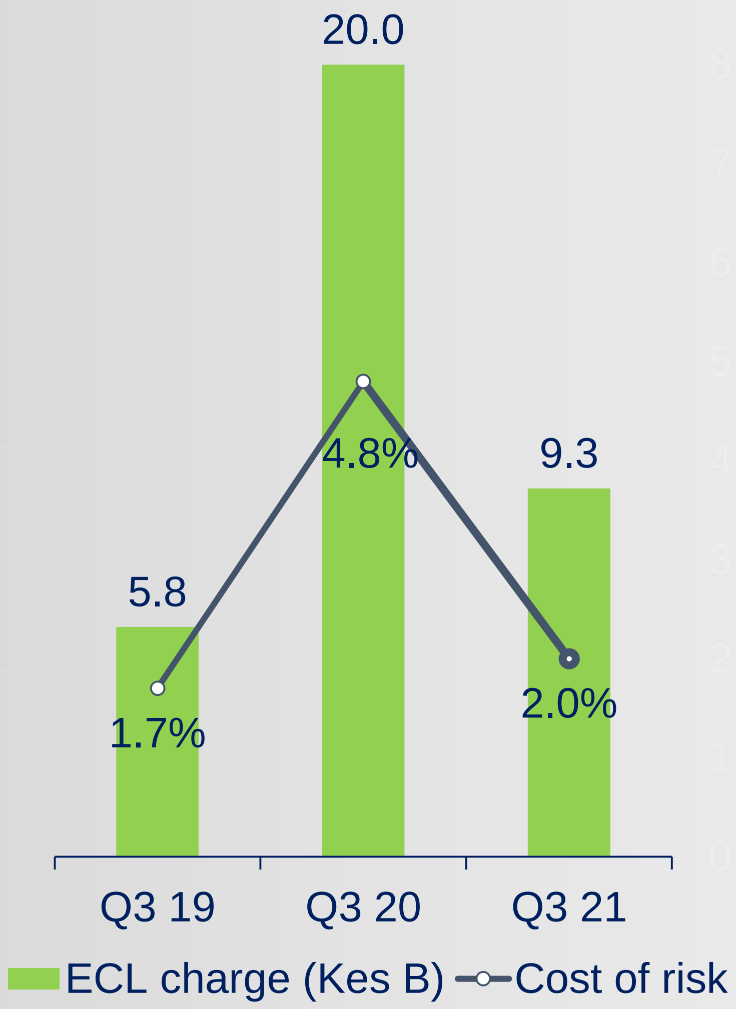
NPL evolution



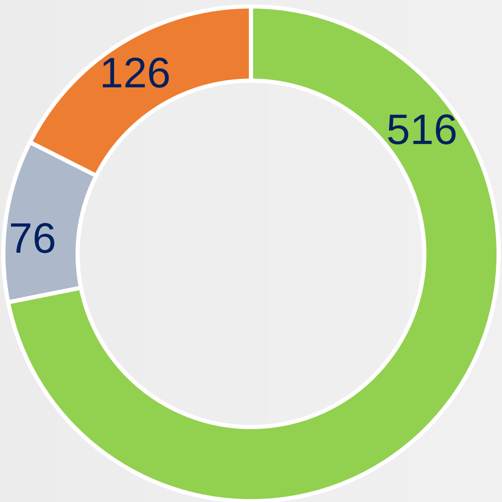
IMPROVED ASSET QUALITY

Cost of Risk improvement driven by reduced provisions in corporate and digital loans

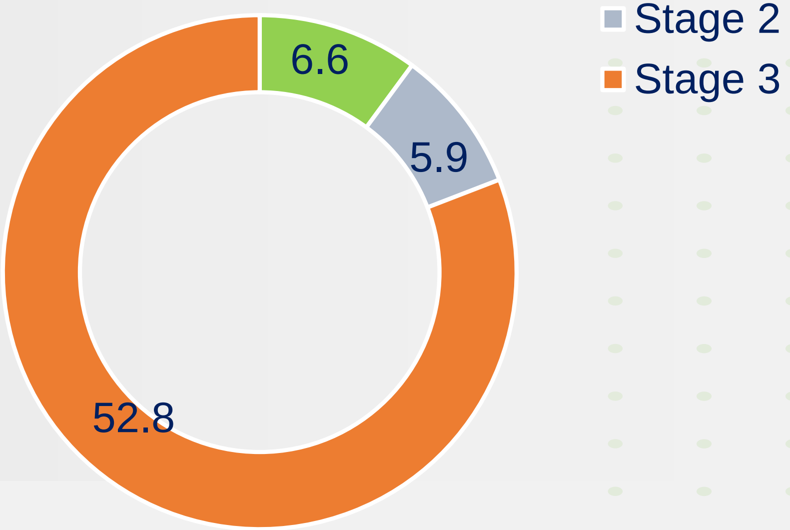
Cost of risk vs ECL charge



Gross loans staging



IFRS provisions staging



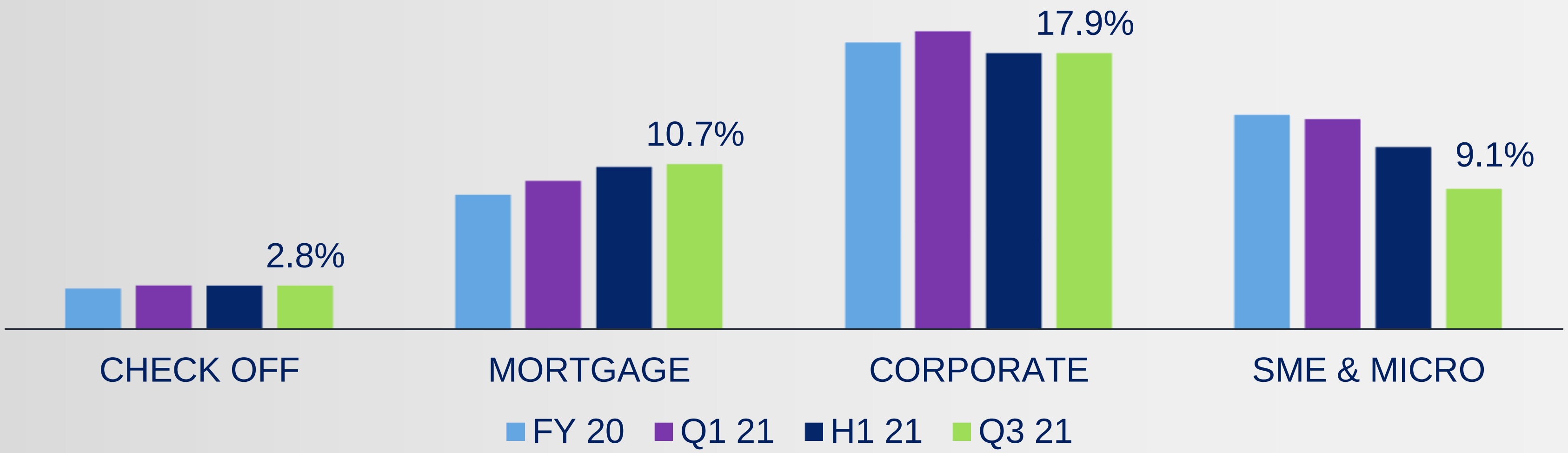
Amounts in Kes B

DISTRIBUTION OF THE NON PERFORMING BOOK

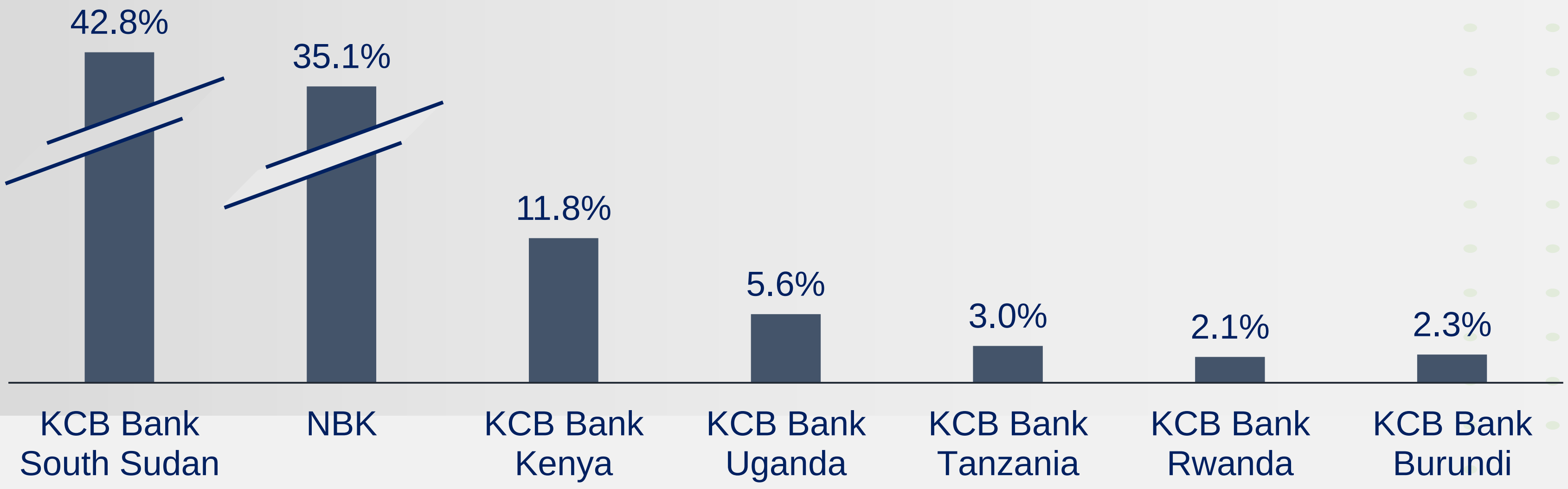
11.8%
KCB Bank Kenya NPL ratio in September 2021 down from 12.8% in December 2020

13.9%
Kenya industry NPL ratio as at August 2021 down from 14.0% in June

NPL breakdown by segment



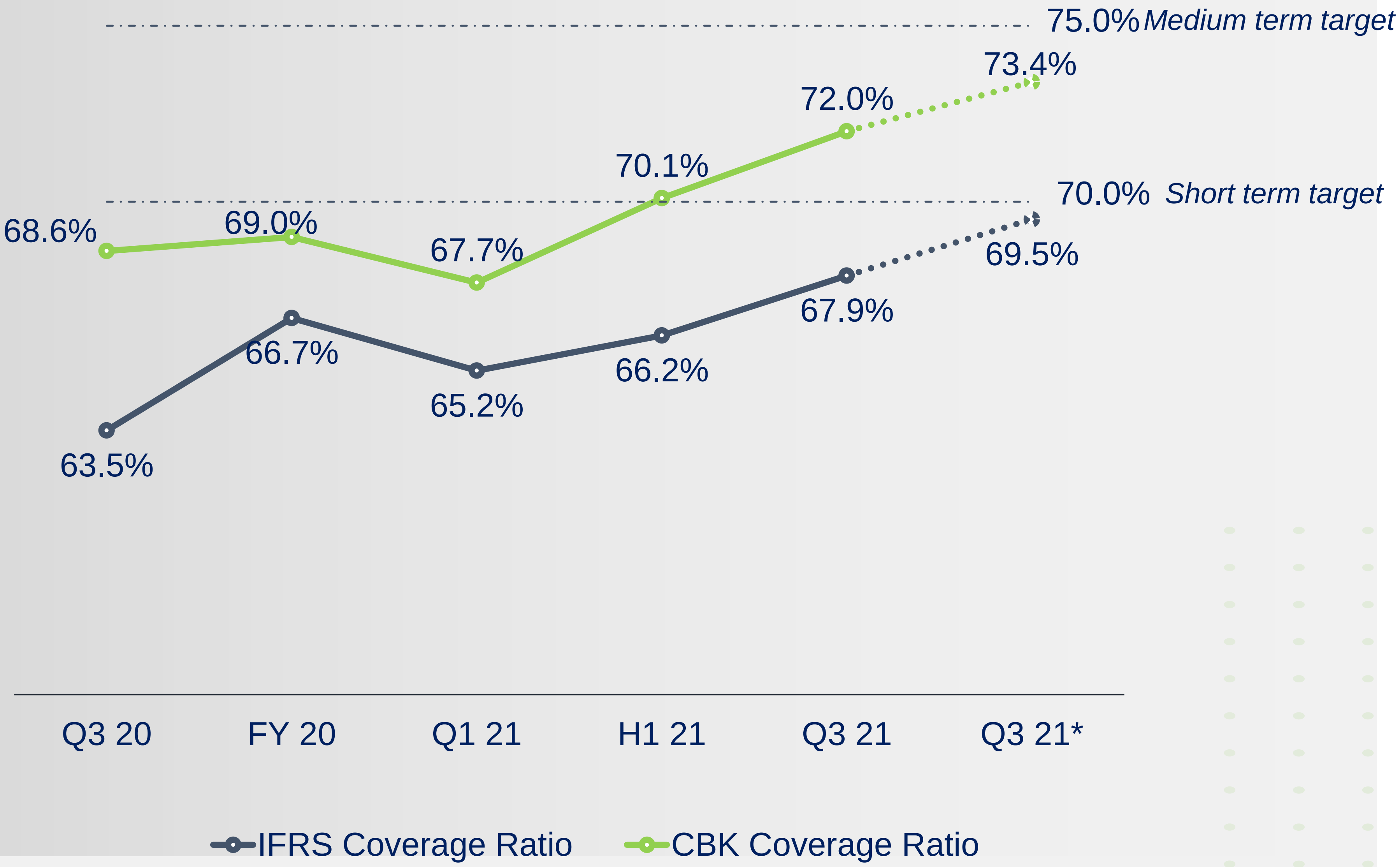
NPL breakdown by subsidiary



CONSISTENT IMPROVEMENT IN COVERAGE RATIOS

72%
Regulatory coverage ratio 200bps above our short term target

Coverage ratios



Q3 21 ratios inclusive of additional coverage provided by risk guarantee schemes*

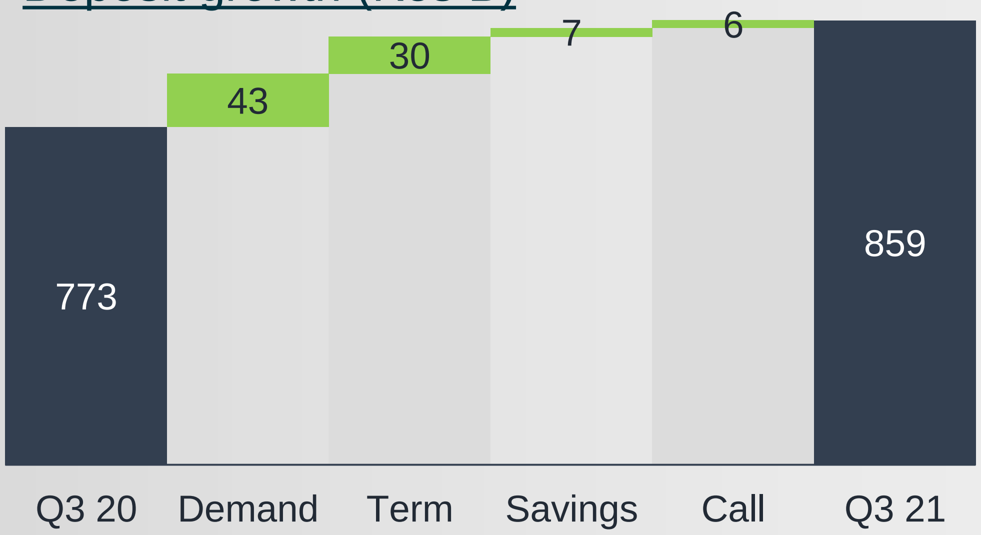
DIVERSIFIED DEPOSIT PORTFOLIO

41%
Liquidity ratio, up 320bps supported by low cost and stable funding mix driven by growth in demand and term deposits

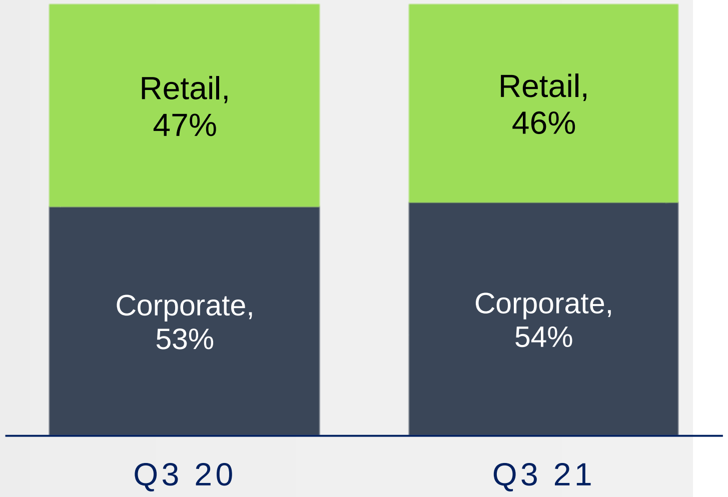
11%
Growth in customer deposits due to organic growth of Kes 60B and inorganic growth of Kes 26B

Currency Mix

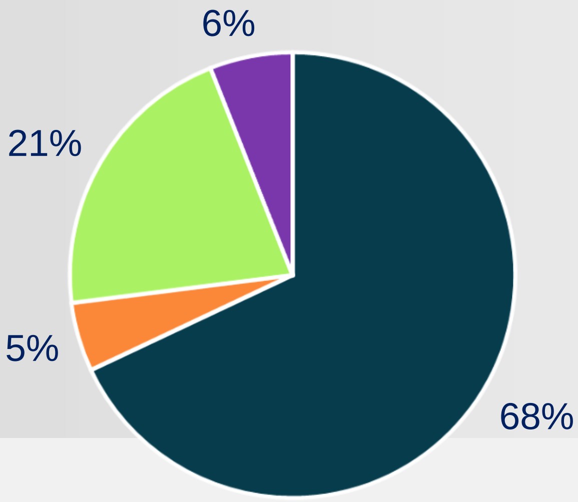
Deposit growth (Kes B)



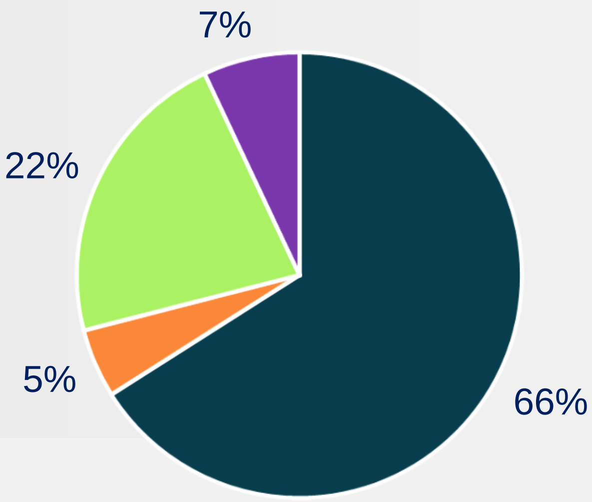
Deposit mix



Deposits by type Q3 20



Deposits by type Q3 21

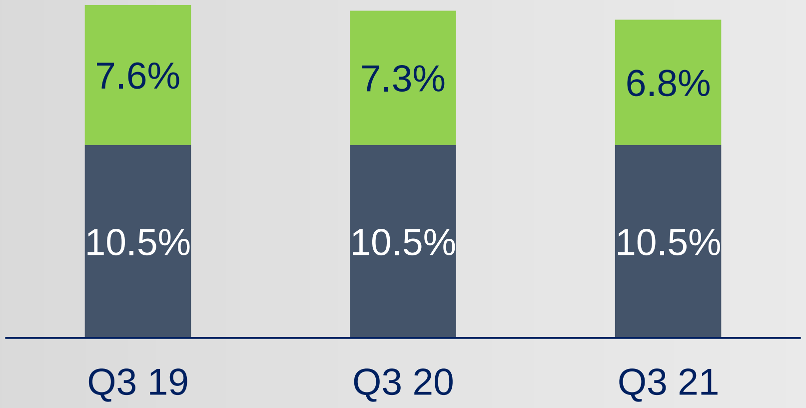


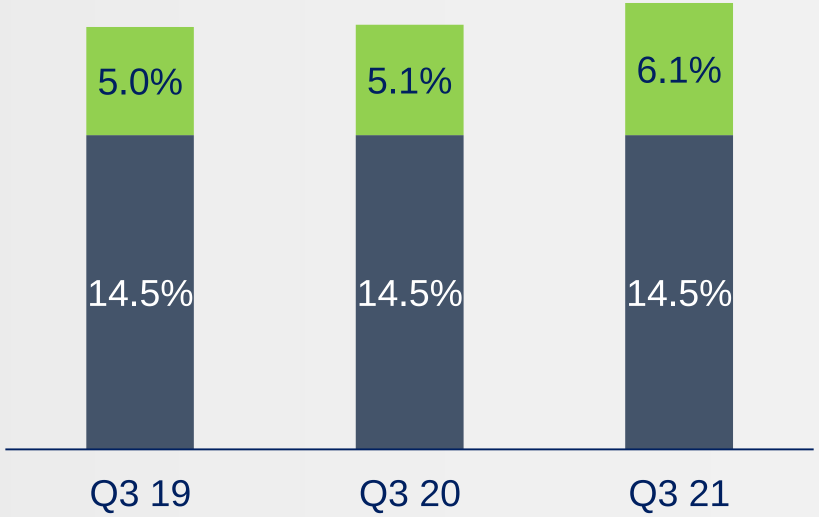
Demand Savings Term Call

SIGNIFICANT CAPITAL HEADROOM

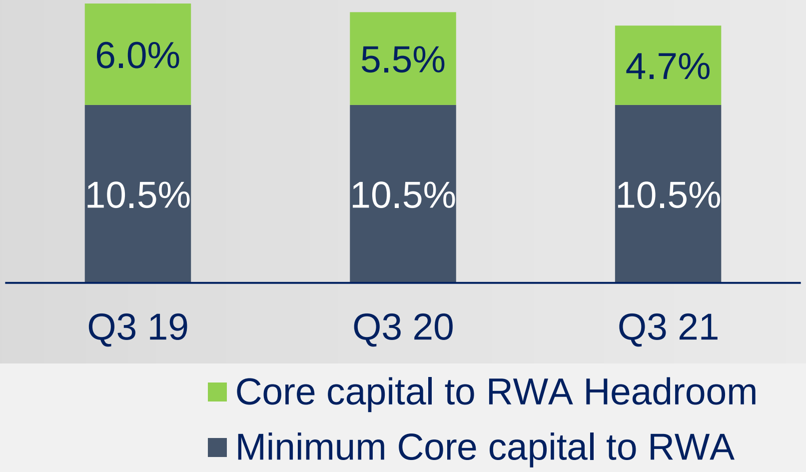
All Group subsidiaries except NBK above minimum capital ratios. Loan recoveries and retained earnings to bridge NBK's capital shortfall

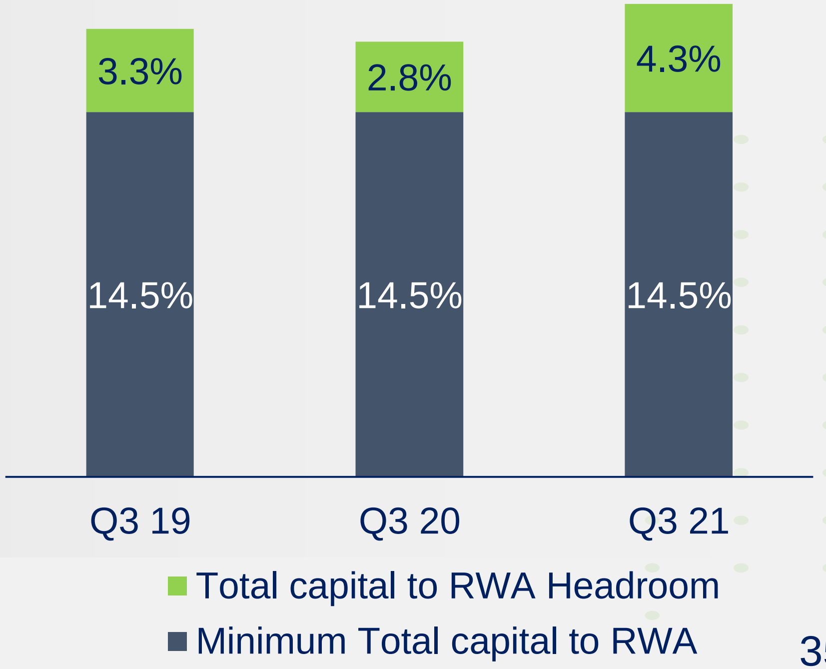
KCB Group





KCB Bank Kenya





DOUBLING UP OF GROUP PROFITABILITY

KCB

109%

Growth in PBT driven by increased interest income from loans and government securities, FX trading income and a decline in the provisions charge

	Q3 2021	YoY movement	Q3 20 vs Q3 21
Customer loans	53.4	17%	7.7
Government securities	18.9	12%	2.1
Interest expense	17.1	11%	1.7
Lending fees	6.6	(3%)	-0.2
Service fees	7.9	5%	0.4
Forex income	4.5	35%	1.2
Provisions	9.3	(53%)	-10.7
Operating expenses	34.8	9%	2.8
Profit before tax	35.8	109%	18.7

Amounts in Kes B

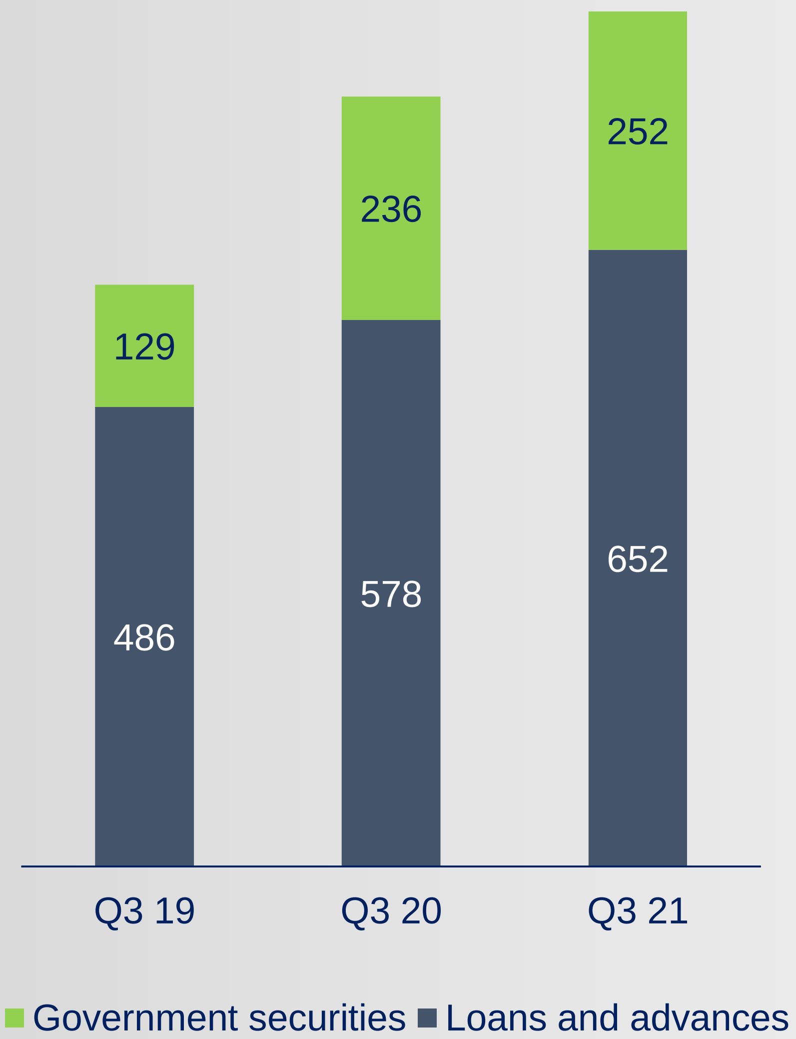
Q3 20 vs Q3 21 YoY movement

STEADY GROWTH IN INTEREST EARNING ASSETS

Net interest income up 18% to Kes 56.4B driven by increase in earning assets and interest write-backs.

Cost of funds dropped by 10bps on account of lower cost of customer deposits

Loans and Govt. securities (Kes B)

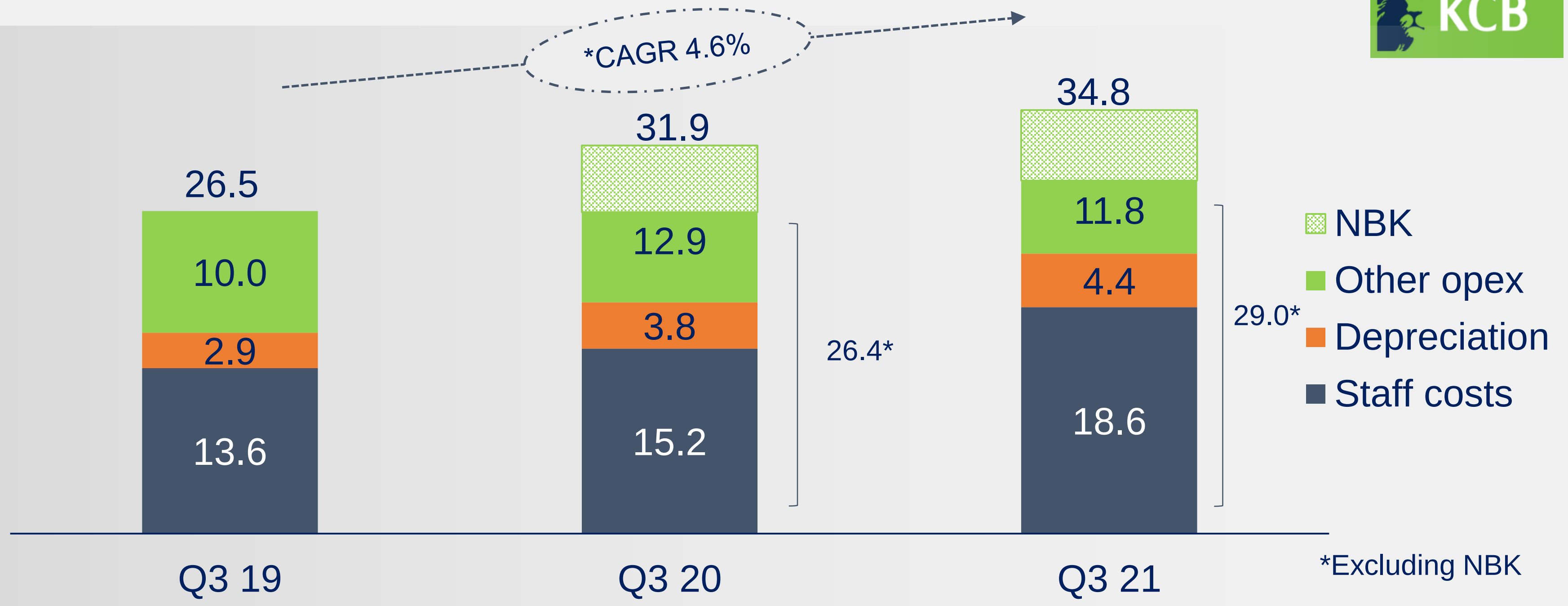


Yields vs Cost of funds

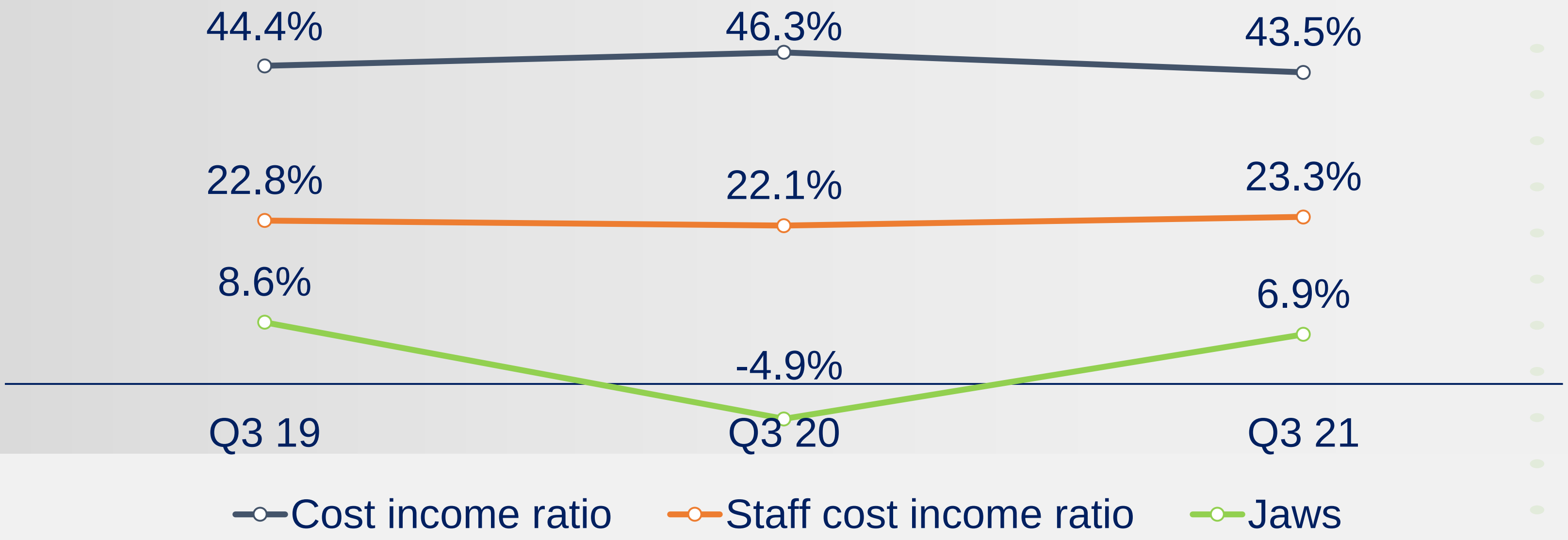
OPERATING COSTS OUTLAY

*Cost growth consistently below inflation and other operating expenses down by 9.0% yoy on account of cost savings initiatives

excluding NBK



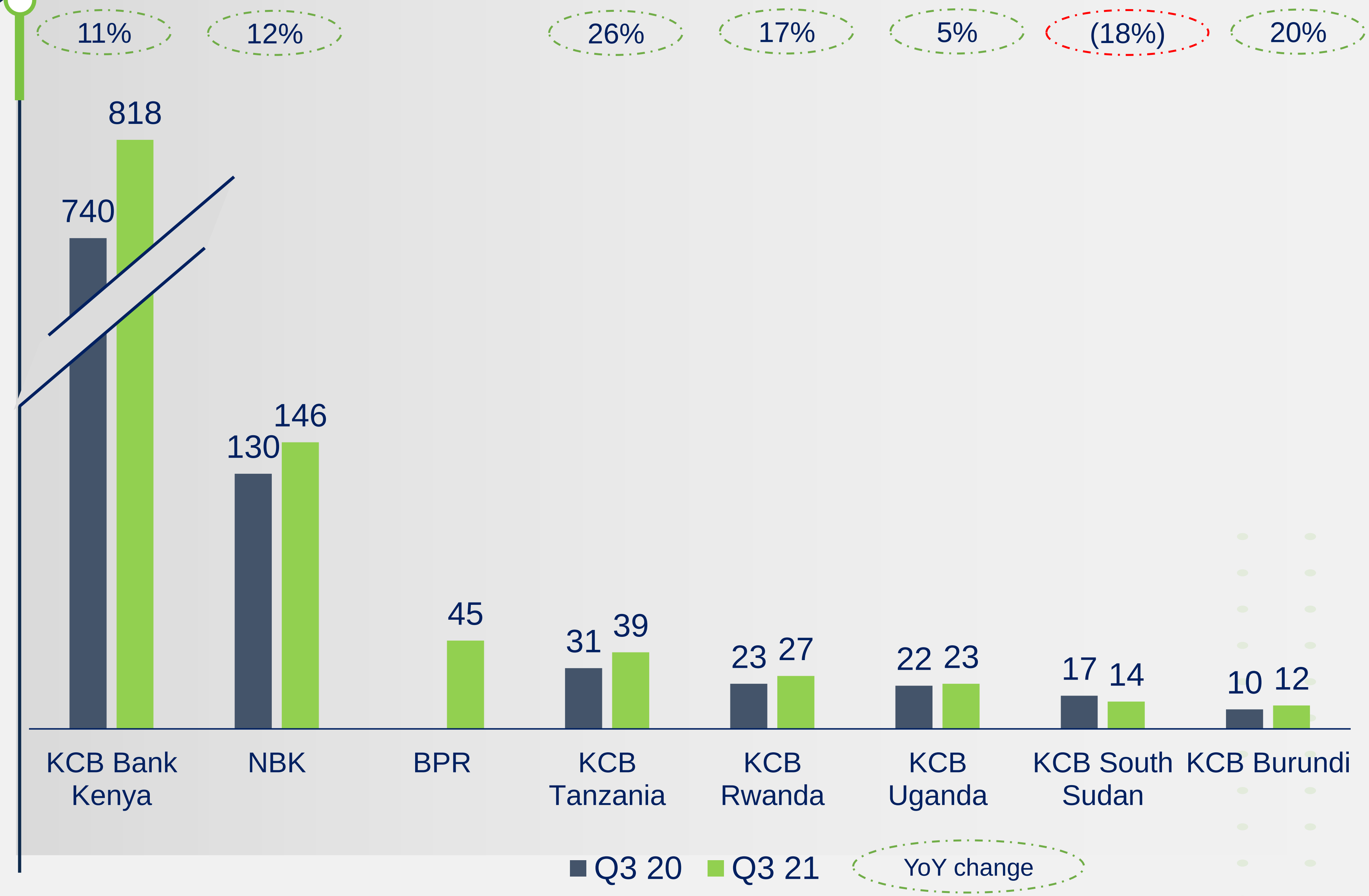
Amounts in Kes B



ASSET CONTRIBUTION PER SUBSIDIARY

73.6%

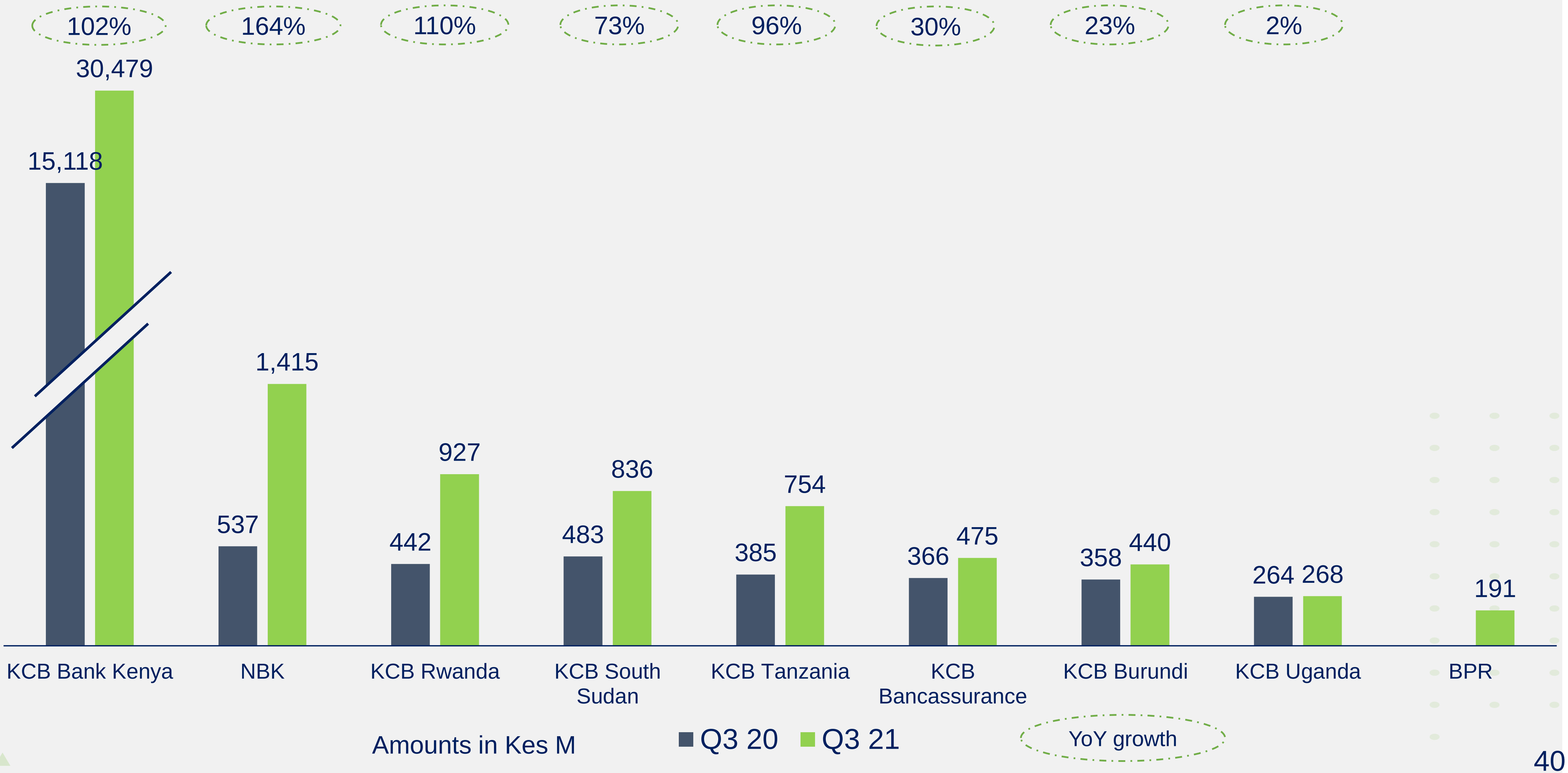
Proportion of total assets in KCB Bank Kenya.



Amounts in Kes B

PROFITABILITY GROWTH AND DISTRIBUTION PER SUBSIDIARY

14.4% | PBT contribution from subsidiaries outside of KCB Bank Kenya



OVERVIEW OF KEY FINANCIAL RATIOS

KCB GROUP				Q3 2021	
Q3 20	FY 20	H1 21		KCB KENYA	KCB GROUP
10.9%	14.4%	20.7%	Return on Average Equity	24.4%	22.0%
46.3%	45.0%	44.3%	Cost to Income	37.7%	43.5%
15.1%	14.7%	14.3%	Gross NPL to Gross Loans	11.8%	13.7%
68.6%	66.7%	70.1%	NPL Coverage	73.0%	72.0%
15.0%	26.0%	22.9%	Debt to Equity	26.9%	21.6%
30.8%	29.7%	28.6%	Non funded income to total income	27.0%	29.4%
29.8%	35.3%	28.7%	Mobile NFI to total fees and commissions	37.5%	28.6%
2.7%	2.7%	2.6%	Cost of funds	2.6%	2.6%
7.9%	7.9%	7.9%	Net Interest Margin	8.3%	7.6%
4.8%	4.6%	2.2%	Cost of risk	1.9%	2.0%
82.7%	77.4%	85.3%	Loan to Deposit Ratio	81.0%	75.9%
19.2%	19.2%	19.1%	Government securities to total assets	20.2%	22.6%
18.7%	11.0%	8.4%	Growth of Net Loans and Advances	7.5%	12.4%
31.7%	12.0%	3.7%	Growth of Customer Deposits	5.9%	11.2%

MEASURING UP AGAINST OUR OUTLOOK

KCB

Improving economic performance supporting the confidence to meet the 2021 outlook.

All outlier items recorded improvement QoQ

NFI ratio ▲ 80bps

CoR ▼ 20bps

Deposits growth ▲ 750bps

	Q3 21 Actual	2021 Outlook
NFI Ratio	29.4%	33.0%
Cost/Income ratio	43.5%	44.7%
NPL ratio	13.7%	14.0%
Cost of risk	2.0%	1.8%
Cost of funds	2.6%	
NIMs	7.6%	7.4%
Asset yield	10.2%	10.0%
Loan growth	12.4%	10.0%
Deposit growth	11.2%	12.0%
ROE	22.0%	20.3%

Q3 21 Actual

2021 Outlook

SUMMARY STATEMENT OF FINANCIAL POSITION

Kes Billion	KCB Group Q3 2020	KCB Group Q3 2021	KCB Group Y-O-Y Change	KCB Bank Kenya Q3 2020	KCB Bank Kenya Q3 2021	KCB Bank Kenya Y-O-Y Change
Cash and balances with central bank	48.6	68.1	40%	38.2	56.5	48%
Balances with other institutions	36.6	60.1	64%	8.5	21.3	152%
Investments in Government & other securities	236.2	252.4	7%	166.1	165.2	(1%)
Net loans and advances	577.5	651.8	13%	445.7	511.3	7%
Fixed assets	25.5	31.9	25%	15.5	19.9	29%
Other assets	47.5	58.2	22%	35.4	44.5	26%
Total assets	**972.0**	**1,122.5**	**15%**	**739.4**	**818.8**	**11%**
Customer deposits	772.7	859.1	11%	595.9	631.3	6%
Balances due to other banks	16.6	26.6	60%	1.2	4.3	257%
Long-term debt	20.4	35.3	73%	17.9	33.1	85%
Other liabilities	26.4	37.1	40%	20.3	26.8	32%
Total liabilities	**836.1**	**958.1**	**15%**	**635.2**	**695.5**	**9%**
Shareholders' equity	135.9	163.0	20%	104.1	123.4	18%
Total liabilities and equity	**972.0**	**1,122.5**	**15%**	**739.4**	**818.8**	**11%**

SUMMARY STATEMENT OF COMPREHENSIVE INCOME

Kes Billion	KCB Group Q3 2020	KCB Group Q3 2021	KCB Group Y-O-Y Change	KCB Bank Kenya Q3 2020	KCB Bank Kenya Q3 2021	KCB Bank Kenya Y-O-Y Change
Interest income	63.3	73.5	16%	49.9	56.9	14%
Interest expense	(15.4)	(17.1)	11%	(11.4)	(11.9)	5%
Net interest income	47.9	56.4	18%	38.5	45.0	17%
Foreign exchange income	3.3	4.5	35%	2.2	2.5	16%
Net fees and commissions	14.3	14.5	1%	11.3	11.0	(3%)
Other income	3.6	4.5	23%	3.0	3.1	2%
Total operating income	**69.1**	**79.9**	**16%**	**55.0**	**61.7**	**12%**
Total other operating expenses	(32.0)	(34.8)	9%	(21.2)	(23.2)	10%
Provisions for bad debts	(20.0)	(9.3)	(53%)	(18.7)	(8.0)	(57%)
Profit before tax	17.1	35.8	109%	15.1	30.5	102%
Tax	(6.3)	(10.6)	70%	(5.3)	(9.1)	73%
Profit after tax	**10.9**	**25.2**	**131%**	**9.9**	**21.4**	**117%**

KCB

THANK YOU

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